

Document of
The World Bank
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Report No: PAD3541

PROGRAM APPRAISAL DOCUMENT
ON A
PROPOSED LOAN
IN THE AMOUNT OF US\$30 MILLION
TO THE
REPUBLIC OF SEYCHELLES
FOR A
STRENGTHENING QUALITY OF THE SOCIAL PROTECTION SYSTEM
PROGRAM-FOR-RESULTS

March 3, 2021

Social Protection and Jobs Global Practice
Eastern and Southern Africa Region

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CURRENCY EQUIVALENTS

(Exchange Rate Effective January 31, 2021)

Currency Unit = Seychellois Rupee

SCR20.40 = US\$1

US\$1.447 = SDR 1

FISCAL YEAR

January 1 - December 31

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ABBREVIATIONS AND ACRONYMS

AML	Anti-Money-Laundering
ASP	Agency for Social Protection
CAS	Country Assistance Strategy
CPF	Country Partnership Framework
COVID-19	Coronavirus Disease 2019
DICT	Department of Information Communications Technology
DLG	Department for Local Government
DLI	Disbursement-linked Indicators
DPO	Development Policy Operation
DB	Disability Benefit
ESSA	Environmental and Social Systems Assessment
FSA	Fiduciary Systems Assessment
GDP	Gross Domestic Product
GoS	Government of Seychelles
GRS	Grievance Redress Service
HCP	Home Care Program
ID	Invalidity Benefit
ICSP	Inter-Ministerial Committee for Social Protection
IFC	International Finance Corporation
IMF	International Monetary fund
MDA	Ministries, Departments, and Agencies
MESA	Ministry of Employment and Social Affairs
MFA	Ministry of Family Affairs
MFEPT	Ministry of Finance, Economic Planning and Trade
MoCDSAS	Ministry of Community Development, Social Affairs, and Sports
MOE	Ministry of Education
MOH	Ministry of Health
NDS	National Development Strategy
OJT	On the Job Training
PDO	Program Development Objective
PAP	Program Action Plan
PforR	Program for Results
PPBB	Programme Performance Based Budget
PEFA	Public Expenditure and Financial Accountability
PPP	Purchasing Power Parity
RP	Retirement Pension
SCD	Systematic Country Diagnostic
SDP	Skills Development Program
SORT	SYSTEMATIC OPERATIONS RISK-RATING TOOL
SPF	Seychelles Pension Fund
SSA	Sub-Saharan Africa
SWA	Social Welfare Assistance
URS	Unemployment Relief Scheme

**DATASHEET****BASIC INFORMATION**

Country(ies)	Project Name	
Seychelles	Strengthening Quality of the Social Protection System	
Project ID	Financing Instrument	Does this operation have an IPF component?
P168993	Program-for-Results Financing	No

Financing & Implementation Modalities

☐ Multiphase Programmatic Approach (MPA)	☐ Fragile State(s)
☐ Contingent Emergency Response Component (CERC)	☐ Fragile within a non-fragile Country
☐ Small State(s)	☐ Conflict
☐ Alternate Procurement Arrangements (APA)	☒ Responding to Natural or Man-made Disaster
☐ Hands-on Enhanced Implementation Support (HEIS)	
Expected Project Approval Date	Expected Closing Date
25-Mar-2021	31-Dec-2024

Bank/IFC Collaboration

No

Proposed Program Development Objective(s)

The development objective is to strengthen the efficiency and effectiveness of social protection programs in the Seychelles.

Organizations

Borrower : Republic of Seychelles



Implementing Agency : Ministry of Finance, Economic Planning and Trade

Contact: Mrs. Elizabeth Agathine

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Implementing Agency : Ministry of Employment and Social Affairs

Contact: Patricia Francourt

Title: Minister

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Email: p.francourt@gov.sc

COST & FINANCING

SUMMARY (USD Millions)

Government program Cost	311.00
Total Operation Cost	311.00
Total Program Cost	311.00
Total Financing	311.00
Financing Gap	0.00

Financing (USD Millions)

Counterpart Funding	281.00
Borrower/Recipient	281.00
International Bank for Reconstruction and Development (IBRD)	30.00

Expected Disbursements (USD Millions)

Fiscal	2021	2022	2023	2024	2025
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Year					
Absolute	12.00	1.50	5.50	6.00	5.00
Cumulative	12.00	13.50	19.00	25.00	30.00

INSTITUTIONAL DATA

Practice Area (Lead)

Social Protection & Jobs

Contributing Practice Areas

Climate Change and Disaster Screening

This operation has been screened for short and long-term climate change and disaster risks

SYSTEMATIC OPERATIONS RISK-RATING TOOL (SORT)

Risk Category	Rating
1. Political and Governance	● Moderate
2. Macroeconomic	● High
3. Sector Strategies and Policies	● Moderate
4. Technical Design of Project or Program	● Moderate
5. Institutional Capacity for Implementation and Sustainability	● Moderate
6. Fiduciary	● Substantial
7. Environment and Social	● Moderate
8. Stakeholders	● Moderate
9. Other	● Moderate
10. Overall	● Moderate



COMPLIANCE

Policy

Does the program depart from the CPF in content or in other significant respects?

☐ Yes ☒ No

Does the program require any waivers of Bank policies?

☐ Yes ☒ No

Legal Operational Policies

Triggered

Projects on International Waterways OP/BP 7.50

No

Projects in Disputed Areas OP/BP 7.60

No

Legal Covenants

Sections and Description

Section I.A.1(a) of Schedule 2 to the Loan Agreement:

GoS to establish not later than one (1) month after effectiveness, and thereafter maintain throughout Program implementation, an ICSP, chaired by MFEPT and MESA, with mandate, terms of reference, functions and resources satisfactory to the Bank, to be responsible for: (i) overseeing the implementation of the Program, monitor key outcomes and ensure policy coordination among different MDAs; (ii) reviewing and adopting specific measures for implementation of the Program; and (iii) providing a consultative forum for specific normative instruments to be submitted for legislative process.

Sections and Description

Section I.A.1(c) of Schedule 2 to the Loan Agreement:

GoS to establish within the ICSP, by not later than one (1) month after effectiveness, and thereafter maintain, throughout implementation, a TWG provided with competent, experienced and qualified staff, in sufficient numbers and under terms of reference acceptable to the Bank, responsible for: (i) monitoring and evaluation activities under the Program, including the monitoring of Program outcomes, and disbursement linked indicators; (ii) reporting on Program progress and fiduciary aspects of implementation; (iii) technical analysis of Program specific measures; (iv) preparation of annual work plan and budget; and (v) supporting the ICSP in its functions.



Sections and Description

Section III.D. of Schedule 2 to the Loan Agreement:

GoS to: (i) carry out jointly with the Bank a mid-term review of the Program not later than thirty (30) months after effectiveness and, to this end, prepare and furnish to the Bank, one (1) month before such review, a report in scope and detail satisfactory to the Bank; and (ii) review jointly with the Bank the aforementioned report and take all measures required to ensure the efficient completion of the Program.

Sections and Description

Section III. C of Schedule 2 to the Loan Agreement:

GoS to: (i) undertake the verification process/certification of fulfillment of DLRs through the Office of the Auditor General, at least annually, in accordance with the terms of reference agreed with the Bank, and pursuant to the verification criteria set out in the Verification Protocol; and (ii) furnish to the Bank corresponding verification report(s) within 45 days.

Conditions

Type

Effectiveness

Description

The Program manual ("Program Manual") has been prepared and adopted in form and substance satisfactory to the Bank.

Type

Disbursement

Description

In respect of Categories (1) through (5), GoS to furnish to the Bank evidence satisfactory to the Bank for the achievement of the respective DLIs/DLRs.



SEYCHELLES
STRENGTHENING QUALITY OF THE SOCIAL PROTECTION SYSTEM PROGRAM

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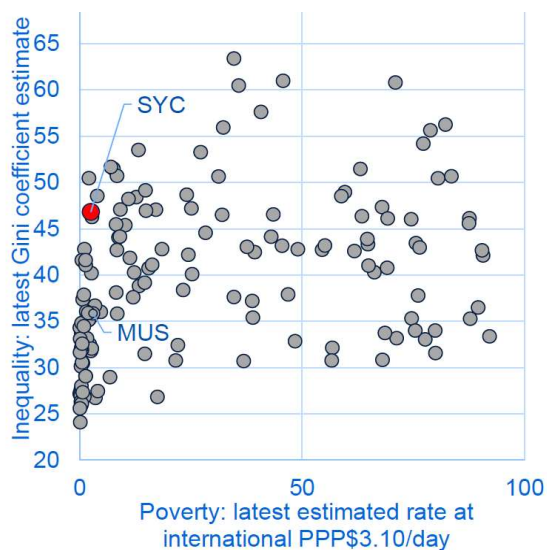
I. STRATEGIC CONTEXT

A. Country Context

1. **Seychelles is a small, high-income country whose growth is largely based on tourism and fish processing.** The country comprises 115 islands with the majority of the 95,000 population in the islands of Mahé (86 percent), and Praslin and La Digue (11 percent combined). Despite the challenges associated with being a small, relatively isolated island nation, Seychelles is one of the two High-Income Countries in Sub-Saharan Africa (SSA), with a gross national income per capita equal to US\$14,760 (2015, Atlas method). Two thirds of the economy is based on tourism and, as a result, has been heavily impacted by Coronavirus Disease 2019 (COVID-19) through the shutdown of its activities. Industry contributes almost all the rest of output, mainly fish processing, and the Primary sector accounts for only three percent of Gross Domestic Product (GDP). Real GDP growth had been above 4 percent during the last five years and was expected to moderate to 3.5 percent, with losses now expected in 2020 and possibly longer. Even before COVID-19, the growth pattern had limited structural change and was mostly driven by factor accumulation, underscoring the need for a productivity-based strategy through, for instance, a higher participation of the population in emerging economic opportunities.¹

2. **While extreme poverty is very low, Seychelles faces social inclusion challenges expressed in inequality indicators of access to services and socioeconomic outcomes, despite already generous social spending.** Poverty in Seychelles is very low: 2.5 percent at the US\$3.10 per day (2011 Purchasing Power Parity (PPP)) line.² Income inequality is significant as measured by a Gini coefficient of 0.47 (2012) (Figure 1). The top 10 percent of the population earns 2.5 times the share of total income of the bottom 40 percent. Figure 1 shows the higher inequality in comparison to neighboring countries like Mauritius (MUS in the Graph). Seychelles has the highest Human Capital Index score in Africa (68 percent), and it came in at 43rd place of 157 countries worldwide in 2018. This score indicates that each child born has a 68 percent chance of reaching their full productive potential as an adult. While children on average complete 13.7 years of schooling by age 18, when adjusted for quality of learning, the years of schooling drop to 10 years. Furthermore, while coverage of education is very high, about 15 percent of the students drop out during secondary school, especially among males (23.5 percent). Further, learning outcomes among those completing secondary school is of concern: about 60 percent of students in their final year of secondary school obtained a D or lower graduation score (National Bureau

Figure 1. Poverty and inequality for select countries



¹ World Bank. 2017. The Republic of Seychelles. Systematic Country Diagnostic. Report No: 114289-SC. Washington, D.C.

² A higher national poverty line (US\$13 per person per day), results in 39.3 percent of poverty (as of 2013). National Bureau of Statistics Seychelles and the World Bank (2016).



of Statistics, 2018). Seychelles also has a high rate of teen pregnancy among high income countries which has increased between 2000 and 2017 (Ministry of Health, 2017) and the highest rate of heroin abuse per capita in the world (³ percent of the working population). Labor market outcomes are consistent with increasing inequality as there is an increased share of employment of managers, technicians and skilled agricultural workers compared to low skilled occupations that experienced a contraction.⁴

3. **Gender differences in social indicators also reflect underlying patterns of family behavior and arrangements.** Although gender analytical work is limited in Seychelles, administrative data shows that in 2018, 76 percent of children were born out of wedlock and 58 percent of households are female headed, with more than half without any partner. Women bear a disproportionate responsibility for raising children and running households even in intact households, which coupled with limited childcare availability particularly for young children and rigid work schedules, results in limited economic opportunities for women and little upward mobility. Women begin with lower education and fewer skills suitable for employment, experience unemployment between the ages of 15-24 at a rate which is 4.9 times the national average, and thus end up with limited job experience, resulting in a wage gap between men and women, due to childcare and family responsibilities faced by women.⁵ These conditions, including gender-based violence, are expected to have worsened as a result of the Covid measures including lockdown and school closures that impose a heavy burden on female headed households. As a result, more than 85 percent of social assistance beneficiaries are women, relying on poverty mitigation support but without addressing the underlying causes of deprivation.

4. **Seychelles population is aging rapidly, threatening both a surge in pensions spending, and a drop in the country's productivity.** Seychelles is a late-demographic dividend country, suggesting it should expect an acceleration of growth in the elderly population (Global Monitoring Report, 2015). In fact, the fraction of elderly is predicted to double in just 13 years from 9.2 percent in 2017 to 18 percent, while the share of working age population will decrease rapidly. In the absence of reforms to the pension system, expenditure on universal pensions in 2030 is projected to be almost twice that observed in 2016 despite an already announced rise in the eligibility age. Additionally, demographic dynamics have already been having a negative effect on the country's productivity starting from the 2010s (World Bank, 2017), only partly offset by the influx of working-age migrants.

5. **Seychelles is also highly vulnerable to extreme climate events and other shocks.** Climate change is a significant risk as it immediately translates into impacts on livelihoods especially of the most vulnerable, stressing the need for disaster preparedness and climate change adaptation. In addition, as Seychelles depends almost entirely on food and fuel imports it makes the country more vulnerable to external shocks. The Seychelles' National Development Strategy 2019-23⁶ (NDS) reflects the lessons from the 2008 global economic slowdown and its impact on tourism and national finances, suggesting the need to move towards a more open market economic policy and adjustments to the social welfare system to

⁴ See Bhorat, Ewinyu and Yu. 2017. The Seychelles Labor Market. University of Cape Town. Working Paper 201706

⁵ African Development Bank. 2019. Seychelles Country Gender Profile: The Linkages Between Gender, Productivity, and Poverty.

⁶ Government of Seychelles. 2019. National Development Strategy 2019-23.



address these vulnerabilities. The NDS also stresses the need to shift to a culture of mitigation and prevention where social protection programs can reduce the vulnerability to adverse shocks.

6. **The Seychelles economy continues to face the effects of the global pandemic.** Economic growth declined by 13.5 percent in 2020, due particularly to the impact of COVID-19 on the tourism sector, which decline by approximately 45 percent. The contraction in economic activity, has caused a significant loss of income in the services sector, led to private sector financial difficulties and has caused frictions in the labor market. Given the sluggish performance of the tourism industry, the fisheries and manufacturing sectors are currently the leading drivers of the economy. Nonetheless, revenue generated from these two sectors is not sufficient to offset the loss in revenue from the tourism industry. The external account is strongly dependent on tourism earnings and investment. Seychelles' current account deficits have largely been financed by foreign direct investment (FDI). With the impact of COVID-19 on tourism and exports, the current account deficit increased to 29.2 percent of GDP in 2020. (More details can be found in Annex 8.)

7. **The contraction in tourism related activities and underperforming dividends had a significant negative impact on revenue collection in 2020.** In addition, expenditures increased drastically due to increased spending associated with the government's COVID-19 response package. Consequently, the budget deficit increased to 22.6 percent of GDP in 2020 from the pre-COVID-19 projection of a surplus of 0.1 percent of GDP. The fiscal deficit will narrow over the medium-term, however the GoS is not expected to meet its primary surplus target until 2025. In addition to the increase in fiscal deficit, there was a steep increase in debt (102.1 percent of GDP). To support the government's response and per the government's request, the World Bank has already provided US\$22 million in financing through disbursement of a Catastrophe Draw Down Operation and a new emergency Development Policy Operation (DPO). However, most of the Covid-response has been financed domestically through short term instruments and resulting high Gross Financing Need (approximately 60 percent of GDP) which gives cause for concern over high debt levels as the crisis in the tourism sector prolongates and fiscal expenditure remains elevated in response. As a result, the new government has requested an IMF program.

B. Sectoral and Institutional Context

8. **Seychelles has a comprehensive, but fragmented, social protection system.** The Agency for Social Protection (ASP) under the Ministry of Employment and Social Affairs (MESA) is responsible for the implementation of most social protection programs, ranging from universal pensions to social welfare, to programs targeting orphans and people with disability as well as employment, job search, and active labor market programs. Other smaller programs (in terms of budget and scope) are run by different line Ministries, ranging from the Ministry of Youth, Sports, and Family Affairs (MYSFA), Ministry of Education (MOE), and Ministry of Transport. Contributory pensions are managed by the Seychelles Pension Fund (SPF). There is limited systematic coordination between these programs which hinders effectiveness and efficiency.



9. **The social protection system, although effective in reducing poverty, is skewed toward the elderly, raising sustainability concerns in a context of rapid aging and decreasing productivity.** As of 2015, Seychelles was spending as much as 3.3 percent of GDP on social protection, higher than the averages observed across SSA, small-state islands, and upper-middle income countries. Yet, social protection spending is disproportionally biased toward the old-age population: elderly are nine percent of the population, yet they represent 22 percent of all the beneficiaries of non-contributory programs and receive as much as 42 percent of total benefits. In contrast, children account for 26 percent of the population, but 23 percent of the beneficiary population, and only 13 percent of all non-contributory benefits are targeted to children. Finally, most of the employment programs are focused on unemployed youth with limited allocation to re-skilling of the working-age population, limiting employability prospects. While social protection spending increased to more than eight percent of GDP in 2020, the same pattern of spending persisted, with a substantial part of the budget being spent on benefits for the elderly.

10. **The largest social protection programs are the non-contributory Retirement Pension, the Home Care Program, the Invalidity Benefit and Disability Benefit.** The Retirement Pension (RP) provides a universal benefit equal to the minimum wage to all 63 or older, with a planned age increase to 65 in 2023. The benefit level, equivalent to 50 percent of average wage, is among the highest non-contributory pension among high- and middle-income countries, and among the highest as a percentage of GDP per capita (3 percent) among African countries.⁷ The Home Care Program (HCP) finances a paid home carer to seniors that are deemed to need care services and subject to a limited means-test. About 70 percent of the carers are providing care in their own homes as family members of the beneficiary benefiting both the caregiver and the care receiver. These HCP home carers are considered employed and have some labor benefits, such as annual leave and 13th month pay, although they have limited training resulting in limited employability if the cared individual passes away. Invalidity in Seychelles is defined as incapacity arising from non-work-related causes, while Disability is defined as incapacity arising from work-related causes. Disability Benefits (DB) provide cash benefits to adults and, recently, to children with disabilities but do not encourage accommodation to access education for children, or to work for adults. IB and DB beneficiaries are each paid SCR 5,250 per month (US\$385) which represents close to 50 percent of average wage. The HCP benefit is equivalent to the minimum wage, and those receiving a RP may also serve as a caregiver to a family member, receiving an HCP benefit as well. As a result, the benefit level of these programs may discourage job search efforts among younger family members living in the same households

⁷ See Organisation for Economic Co-operation and Development (2015) and Help-Age Pension Watch database.



Figure 2: Main Programs, Stakeholders and Budget Allocations in the Safety Net System



Source: World Bank, Social Protection Policy Note, 2016.

11. **The poverty-targeted Social Welfare Assistance (SWA) is much smaller both in terms of scope and budget, spending 0.3 percent of GDP, although it rose to 0.6 percent of GDP in 2020** The SWA is the main program targeted to the poor as RP and HCP do not explicitly target the poorest. In contrast, about 70 percent of the SWA beneficiaries are poor. Contrary to previously mentioned programs, where minimum wage level benefits are given to individual beneficiaries, SWA provides the same minimum wage benefit to cover an entire household, resulting in lower per capita payments. SWA has also a smaller coverage (7.7 percent), less than one-tenth of the coverage of the RP program. On the other hand, expanding SWA beneficiaries without enabling job opportunities does not address the underlying reasons for applications, especially for the less employable individuals. Equally important, SWA needs to better adapt to unexpected shocks derived from climate change or economy wide crises like the current COVID-19 in order to reduce vulnerability among those in need. SWA needs to both enhance its linkages to productivity (through employability measures) and, adapt to mitigate shocks in a timely fashion.

12. **SWA is a key program to address gender economic imbalances, especially among the poor.** In contrast to other programs with a balanced gender composition, 85 percent of SWA beneficiaries are females. During the COVID-19 crisis, the number of male applicants increased significantly but still are less than females. The SWA composition reflects the heavy reliance by women on social welfare, the large number of female-headed households and the limited income-earning opportunities they have given their childcare and family responsibilities,⁸ but given its coverage it also provides an entry point to address key gender-related vulnerabilities like economic participation and autonomy.

⁸ African Development Bank Group, p. 18.



13. **Active labor market policies offer limited opportunities for low-skilled youth and mid-age workers.** My First Job Scheme is a wage subsidy program for graduates from post-secondary education centers resulting in an exclusion of the lower attainers.⁹ The Skills Development Program (SDP) provides youth aged 15-30 years with an allowance for participation in on-the-job training (OJT) activities.¹⁰ Although it covers a large share of school dropouts and females, SDP faces uptake and retention challenges due to the high level of pregnancies. However, SDP has a moderately high completion rate as 68 percent of both males and females completed the 18-month program. Finally, low-skilled workers above the age of 30 can access the Unemployment Relief Scheme (URS) if they remain unemployed after job search and labor intermediation by MESA. The URS, relaunched in 2017, has an explicit objective to cover ex-convicts, welfare recipients, and drug addicts, among other groups. Despite the broad target population and the collaboration between ASP and the former Agency for Prevention of Drug Abuse and Rehabilitation (APDAR) for the placement of drug addicts, the success rate of the URS is concentrated among the better skilled participants. The GoS has recognized these challenges – the growing non-participation of youth in labor markets, the limited coverage of technical and vocational education, and the disconnect between skills trainings and the changing needs of the labor market – as critical issues to be addressed (Ministry of Education, 2018).

14. **In this context, the GoS requested financial and technical support from the World Bank to improve the efficiency and effectiveness of the social protection system.** The above analysis suggests two important considerations. First, social protection programs can be better targeted to reach out to those in need enhancing the allocative efficiency of the system. Second, these programs can be used to enhance productivity through increased incentives for labor force participation and trainings. Attaining these objectives requires greater integration across social sectors to establish referral processes to deliver better-quality services. These efficiency and effectiveness criteria are key central to a social protection system that aims to support economic resilience to shocks and facilitate women's economic autonomy.

15. **This vision is reflected in the NDS 2019-2023.** The NDS shifts the focus away from income poverty to a multi-dimensional strategy to tackle inequality and promote social cohesion. To achieve this goal, the NDS envisages a reform of the social protection system to “improve targeting and long-term sustainability”, and to build stronger linkages of the safety net system with social services “to counsel and provide support to those with social challenges.” The NDS recognizes the importance of “ensuring there are opportunities for training knowledge-based workers as well as continuous workplace training and lifelong learning.” The NDS also highlights the toll taken by drug and alcohol abuse on the productivity of the population, and its overall impact on the socioeconomic development of the country. Finally, the NDS raises the broader policy importance of shock preparedness and mitigation while stressing the role of social protection programs in mitigating adverse shocks.

⁹ Poverty incidence among the youth is 43 percent, compared to 35 percent for prime adults. Youth unemployment is 14.5 percent, approximately four times the unemployment rate among prime adults (National Bureau of Statistics, 2018).

¹⁰ The SDP benefit is SR 2,500 for those under 18 years or SR 3,000 for those 18 or older. An additional SR 500 is provided to those with children to cover childcare costs. These costs are shared between the Government (70 percent) and the firm (30 percent).



C. Relationship to the CAS/CPF and Rationale for Use of Instrument

16. **The proposed PforR is part of the World Bank Group Country Partnership Framework (CPF) for Seychelles for FY18-23 (Report No. 122493-SC) and has now been adjusted to COVID-19 as noted in Annex 8.** The CPF for Seychelles was presented to the World Bank Group Board of Executive Directors in July 2018. The CPF focuses on strengthening institutions to foster inclusive and sustainable prosperity through a highly selective framework centered on two focus areas: i) Sustainable Growth for Shared Prosperity, and ii) Fostering Inclusion and Public Sector Performance. Each of the focus areas had two objectives. The planned CPF lending program consisted of two operations totaling US\$25 million, including the Third South West Indian Ocean Regional Fisheries project (US\$15 million, approved in FY18) and this operation which originally was slated to be a loan of US\$10 million but was scaled up in response to increased need. This proposed operation fits under the second focus area of the CPF under the objective of Re-Orienting the Social Assistance System to Prioritize the Bottom Forty Percent.

17. **In delivering its COVID-19 response, the World Bank Group is focusing on key areas of capacity building while adjusting to the country's changing needs.** The COVID-19 Emergency DPO included prior actions in the areas of AML, building on existing technical assistance, and climate change adaptation. The proposed PforR has been under discussion with the Government since 2019 and, when the emergency unfolded, could build on an extensive dialogue on the role of social protection in protecting vulnerable groups to climate change phenomena (e.g. floods) or other shocks. The team has been coordinating closely with the IMF which is providing financial assistance in light of the emergency needs in response to COVID-19. While formal donor coordination was limited in Seychelles prior to COVID-19 due to the country's small size and high-income status, cooperation with partners has been ramped up under the United Nations Resident Coordinator's office, and analytical and technical assistance work has helped ensure coherence with other partners' activities.

18. **The proposed PforR is aligned to the Objective 3 in the Country Partnership Framework to reorient the social assistance system to prioritize the bottom forty percent.** It seeks to reorient the social assistance system from a focus on social welfare to a focus on investing in human capital and participation in the labor markets, especially among the bottom 40 percent. As the COVID-19 crisis was not foreseen in the CPF, the PforR goes further in supporting the delivery of emergency assistance during the crisis, as part of the role of social protection in absorbing and mitigating the impacts of shocks. The PforR would indirectly support the CPF pillar of Sustainable Growth for Shared Prosperity as it would enhance the employability of beneficiary households and participants, pulling households back into productive work and reducing their reliance on cash benefits. Although another objective is formulated in terms of the management of natural endowments, it is motivated by the need to strengthen the capacity to absorb environmental and global economic shocks. This PforR supports building an adaptable social protection system which enhances the capacity to be resilient to extreme climate events or economic shocks.

19. **The PforR has also been adjusted to provide financial support to the GoS in addressing the needs of vulnerable populations who have lost their livelihoods due to the COVID-19 induced tourism decline.** While the GoS covered salaries for private formal sector workers to be paid by their current employers, those working in the informal sector or participating in daily and casual labor have completely lost their



source of income. In April 2020 as many as 2,754 households applied for SWA. The PforR has been adjusted to include emergency financing to allow the SWA to be temporarily expanded both horizontally and vertically.

20. **The PforR is the best-suited World Bank instrument to support the Government program of implementation reforms and related expenditures.** The choice of a PforR instrument relies on the following considerations: (i) the GoS has a well-established reform program and the PforR can support its implementation through the achievement of critical targets across political administrations; (ii) the Program will leverage the Government's existing social protection instruments and programs, to support the sustainability of reforms; (iii) the implementing agency's installed technical capacity is high, and technical assistance is needed only on specific aspects of the reform; (iv) the GoS has sufficient financial resources to purchase technical assistance and provide set-up and operating costs; and (v) the GoS can track specific results measured by performance indicators which will help generate momentum for key policy reform actions to take place. An alternative instrument such as a DPO is unfit because a sequence of actions over several years is required to achieve the development objectives. The COVID-19 emergency, however, has created fiscal needs and those are being largely addressed through a separate operation (Seychelles Mitigation, Resilience and Recovery Development Policy Financing - P174198). From the perspective of the GoS, the PforR provides an external accountability framework that supports coordinated decisions which will be fundamental to the success of the social protection reforms.

II. PROGRAM DESCRIPTION

A. Government Program

21. **The objective of the Government of Seychelles' social protection program, as described in the Vision 2033 (the Government Program) is to create social cohesion.** This objective was recently articulated as one of the main priorities in the Vision 2033 document and the accompanying NDS 2019-23. The NDS specifically notes that "[creating social cohesion] requires a more strategic and targeted social safety net to ensure long-term sustainability." Furthermore, it notes that "issues of building the capacity and resilience of all groups of society will be the key to their greater inclusion in the socioeconomic development of the country." The GoS subsequently articulated a Social Protection Strategy 2019, which outlines three important results areas: better intra-government coordination to improve targeting and provision of services; the need for quality services in addition to cash benefits; and the need for efficiency measures to promote sustainability. Each of these is presented below.

22. **The Social Protection Strategy advocates for greater coordination and information to assess socioeconomic conditions of households and better target and tailor services.** The Strategy recommends intersectoral coordination so that once a household's needs and vulnerabilities are identified and ASP programs are recommended, other ministries, departments, and agencies (MDAs) can deliver complementary services according to the households' needs. The information sharing and policy coordination is critical as these services need to be prioritized in the MDA budgets to provide adequate resources. The Program aims to integrate information processes across MDAs with special attention to specific vulnerable groups (e.g. female heads and children) and incorporating climate change risks, to both better document underlying social exclusions and accelerate the provision of services or shock response



support. The existing fragmented processes are both duplicative, from both the beneficiary and administrative sides, and represent missed opportunities for identifying needs and providing a comprehensive package of services.

23. **The Social Protection Strategy also calls for accompanying cash benefits with services and increasing the quality of services already provided.** The GoS has recognized that cash benefits are insufficient to provide households with a path to upward mobility. It is planned that ASP programs could serve to identify services that households need and provide incentives for participation in complementary programs, especially among disadvantaged groups among the vulnerable. For instance, the HCP provides care services but most care providers have received no training, calling into question the quality of services provided. In the case of IB and DB, cash benefits are provided, but the program does not assess whether there are accommodation opportunities for the individual to return to work or retraining for new occupations. Finally, SWA beneficiaries may need job search assistance, retraining, rehabilitation for drug addictions, in the form of a case management model, especially among female applicants that face other restrictions. At the same time, the current system of referrals between ASP, and other social services remains relatively weak despite increasing investments on a methadone replacement program and psychosocial support. Overall, social protection programs are aimed at individual-specific risks but are not addressing broader risks such as those related to climate change, economic crises, and others. Reforms are needed to link the cash benefits under ASP programs with a range of service providers to provide multi-faceted social protection, and to provide timely support to mitigate aggregate shocks. These services may be particularly valuable in supporting women, the prime beneficiaries of SWA, become economically included and become more self-reliant. Under the COVID-19 emergency, the GoS has accelerated measures to expand social protection programs (vertically or horizontally) to mitigate the impacts of the crisis and has increased budget appropriations to cover those costs.

24. **The Social Protection Strategy also aims to make social protection programs more efficient for long-run sustainability.** Due to aging, ASP expenditures will rise from almost 6 percent of GDP to 13 percent by 2057. In addition to administrative efficiency gained from coordinating household information, there are potential efficiency gains in each of the four largest programs. Old age support is currently provided by both the RP and the contributory pensions scheme from the SPF without exclusion between the two because SPF is a relatively new program. But as individuals with longer careers under SPF and with larger contributory pensions begin to retire, it may be possible to limit the RP, either in terms of eligibility or in terms of size of benefit, toward preventing poverty rather than providing a flat benefit to all. Similarly, the HCP provides one care giver to one beneficiary for most beneficiaries, subject to a loose means test. HCP financing from ASP may need to be limited to those that fall below a much stricter means test. Alternatively, some form of group care may be needed as the number of care recipients increase, with the potential pool of care givers being a greater constraint than the financing of that care. For IB and DB it is possible that rehabilitation will permit ASP to reduce the benefits provided to invalids with gainful employment. For SWA beneficiaries, the goal is to get participants, especially women, back into gainful employment and self-reliance with an upward growth path. The services provided should result in some individuals graduating from the need for SWA.



25. **Table 3 shows the expenditures under each of the five main programs managed by ASP, both in nominal rupees and as a percentage of GDP.** While invalidity and disability pensions are treated as separate line items currently, they differ only in the cause of invalidity, work-related or not, with work-related injuries and diseases labeled as disability.

Table 1: Expenditures in the Government Program (SCR '000)

	2020 Actual (SCR)	% of GDP	2021-24 Projected	% of GDP
Retirement Pension (RP)	769,976	3.7%	3,192,416	3.3%
Invalidity Benefits (IB)	113,850	0.6%	443,664	0.5%
Disability Benefits (DB)	129,189	0.6%	414,000	0.4%
Home Carers Scheme (HCP)	302,829	1.5%	1,118,936	1.1%
Social Welfare Assistance (SWA)	125,352	0.6%	311,088	0.3%
TOTAL	1,441,196	7.0%	5,480,104	5.6%
US\$ million	65.4		248.8	

Source: Seychelles Government Budget 2021

B. PforR Program Scope

26. **The World Bank would provide assistance to the GoS through a comprehensive, yet fast-disbursing PforR to reform the social protection system.** The Program is defined as the five largest cash transfer programs managed by ASP: RP, HCP, IB, DB, and SWA. The PforR aims at supporting the Government's objectives by concentrating on two Result Areas: (i) Result Area 1 focuses on improving the allocative efficiency of the social protection programs, increasing social protection spending allocated toward those in need and most vulnerable, including the elderly; and (ii) Result Area 2 focuses on providing program beneficiaries better quality services, increasing the effectiveness of social protection programs by helping beneficiaries access services, and timely delivery of social assistance supporting Seychelles' capacity to absorb shocks due to climate change or others like the current COVID-19 crisis.

27. **The Program Expenditure Framework consists of five key social protection programs administered by the ASP.** These programs are expected to have a total cost of US\$311 million for calendar years 2021-24, of which the World Bank will be financing US\$30 million, with the World Bank contributing a small share of 9.6 percent. The total expenditures are included in the GoS budget and will be fully financed by the GoS.

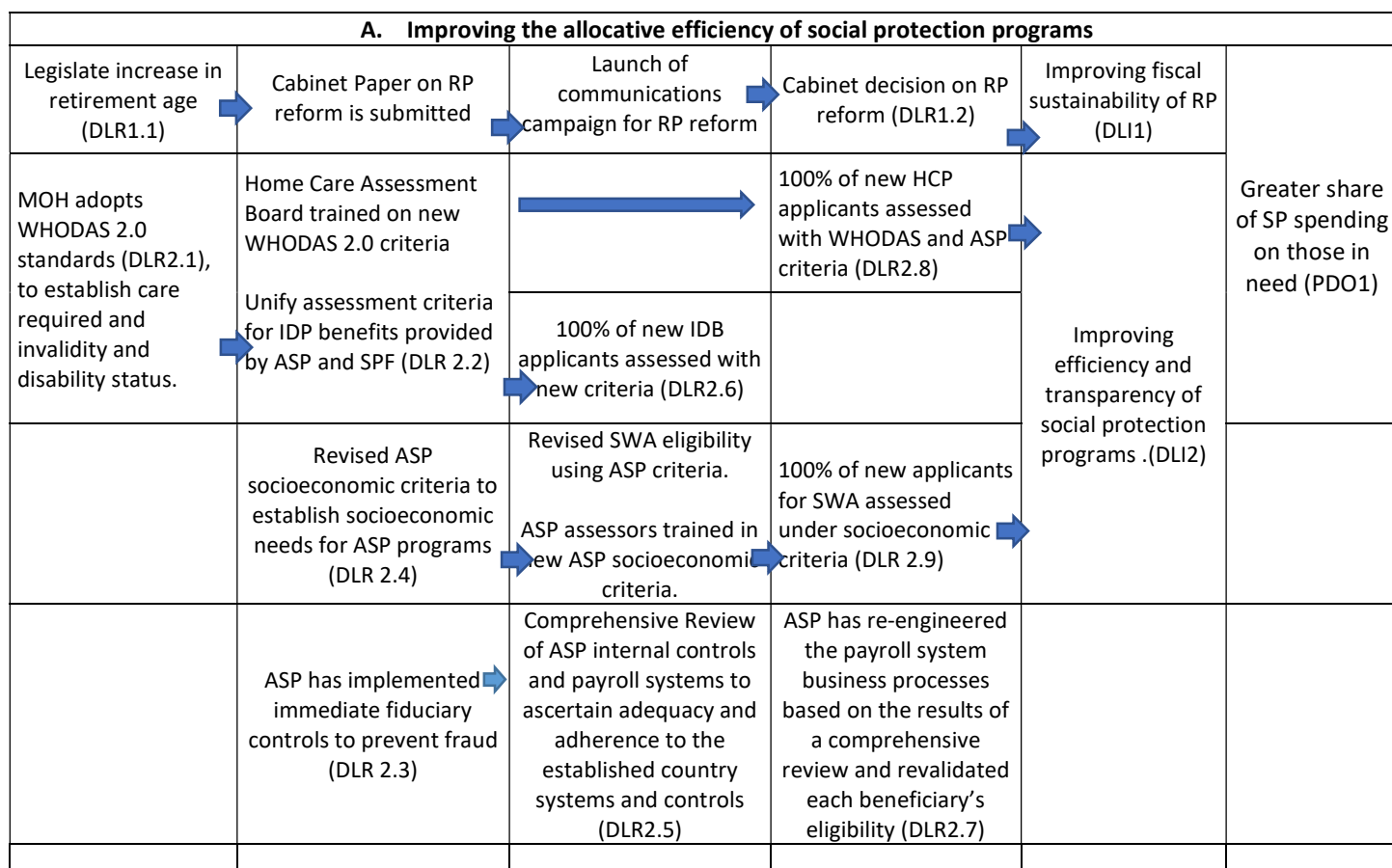
28. **Figure 3 below shows the theory of change to: (i) improve efficiency and transparency of social protection spending; and (ii) increase effectiveness of the social protection programs.** The improvements in efficiency and transparency will focus on: (i) improving fiscal sustainability of RP; (ii) improving efficiency and transparency of social protection programs through improved targeting and adequacy of social protection programs for the most vulnerable and a comprehensive review of the ASP internal controls and payroll systems to check adequacy and adherence to the established country systems and controls. Increased effectiveness will come from adequate referral mechanisms to facilitate social protection beneficiaries' access to services provided by other MDAs through a social registry. These



measures will enhance the content of the services provided through better trained personnel, timeliness of social assistance during extreme climate events and other emergencies, and facilitation of complementary services such as reskilling and employment programs.

29. **Results Area 1 will support improvements in the allocative efficiency of social protection spending, such as directing a higher percentage of spending toward those in need.** The main reform under Result Area 1 is the increase of the retirement age from 63 to 65 years beginning January 1, 2023 to reduce the projected expenditure increases. The Program will support the legal and operational implementation such as a public information campaign to ensure public awareness. At the same time, systems need to be put in place to identify the elderly in need of additional resources. The Program will also support the preparation of a paper on the options for further RP reform, take legislative action on these further reform options and the associated citizen's awareness campaign. Potential changes include linking future changes to the retirement age to changes in life expectancy, indexing the RP benefit to inflation, and coordinating the benefit with the contributory pension.

Figure 3: Theory of Change for Improved Efficiency and Effectiveness of Social Protection





B. Providing beneficiaries with better quality and increased access to services and emergency support					
Set up Interministerial Committee on Social Protection and Technical Working Group				Multisectoral policy preparation and monitoring in place	Providing beneficiaries with better quality and increased access to services and emergency support (PDO2)
Define and sign interagency protocols for information sharing (DLR 3.1)	Semi-annual Public consultations on program implementation take place				
Create social registry with a uniform entry form.	District Authorities refer potential beneficiaries to appropriate MDAs	50% of SWA female beneficiaries referred to other MDAs for employability and social services(DLR 4.2)	60% of HCP, IDB, SWA, RP beneficiaries included in social registry (DLR3.2)	ASP programs are regularly evaluated to assess impact and cost effectiveness	
Normative instruments allow ASP programs to adopt emergency procedures.	Providing emergency assistance to ASP beneficiary (DLI5)	New emergency beneficiaries are included in the Social Registry		ASP provides emergency support to mitigate the impact emergencies.	
Set up Home Care Agency and Training Curriculum		60% of caregivers providing full-time care to new beneficiaries of HCP are trained (DLR 4.1)		Home Care Beneficiaries receive better quality care (PDO2)	

30. **The Program will increase HCP efficiency by improving eligibility among those with the greatest physical and financial needs.** Currently, many elderly and disabled people qualify for home care based on a medical assessment based on bodily impairment. The GoS is adopting the World Health Organization's Disability Assessment Standard (WHODAS 2.0), which assesses the need for care based on functional limitations, not purely bodily impairment. Assessors will need to be trained on the new criteria. The HCP also requires a means-test for those receiving state funding, but one that is far more lenient than what is required for eligibility for SWA. While SWA subtracts total household income from imputed household expenditures to determine the benefit, the means test for HCP subtracts only the beneficiary's own non-pension income and that of any adult child of the beneficiary living in the same household from the full household expenditure to determine eligibility. This means-test will be revised to again help focus on those who have greater needs and exposure to extreme climate events rather than making the benefit widely available to most elderly. The supported reforms expect to see 100 percent of new applicants assessed under the new criteria.

31. **Reforms to the invalidity and disability pensions, which also currently use percentage of bodily impairment as eligibility criteria, will also be supported.** Assessments for access to these benefits will be



aligned with the WHODAS criteria. Furthermore, those who participate in the contributory pension program run by the SPF are assessed a second time, using a separate set of criteria, for eligibility to the invalidity and disability pensions financed by SPF in addition to the assessment for the ASP-administered invalidity and disability pension program. The GoS plans to unify the assessment procedures, to avoid administrative duplication and burdens on the beneficiaries. The GoS envisages that 100 percent of applicants for these programs will be assessed using these new WHODAS during the Program.

32. The Program will also increase the efficiency of the SWA through better targeting of beneficiaries, adequate gender-specific welfare measures, and expanding coverage as shock response. This means-tested program, rather than being focused exclusively on the difference between cash income and imputed expenditures, will broaden its criteria to cover socioeconomic needs to better reflect gender differences in economic opportunity and exposure to extreme climate events. This approach is expected to capture better reflect the limited economic opportunities among female heads of household and facilitate adequate referral to complementary services. The GoS envisages that 100 percent of applicants will be assessed under the new criteria by the end of the Program.

33. The Program will also support the increased transparency and accountability of the social protection system by strengthening ASP payroll system processes, procedures and internal controls. This will involve conducting a comprehensive review of the systems and implementing an action plan to address the identified weaknesses. The actions will include a number of associated measures, such as requiring all beneficiaries to have their own bank accounts and merging all benefits provided to a single beneficiary into a single entry on the monthly payroll system, and segregating duties such as data processing, approval, and monitoring to create an audit trail. Together these will increase the ability of the GoS to closely monitor the roster of ASP beneficiaries, the accuracy and timing of payments, and the financial reporting across programs.

34. Results Area 2 supports the enhanced policy coordination across MDAs and supports providing program beneficiaries with better quality of and increased access to services, especially among females, and ensuring timely delivery of social assistance support during emergencies. This Results Area supports multisectoral policy preparation and monitoring of Program implementation, through the establishment of the Inter-Ministerial Committee on Social Protection (ICSP), and the coordination with District Teams and local MDAs, who are closest to beneficiaries and play a role in implementing the Program. ASP programs will also be regularly evaluated to assess the impact and cost effectiveness of the programs. A key element of the Program is the establishment of protocols for case management of participants to ensure cross-sector coordination at the local level. These protocols would provide a harmonized entry to social protection programs and support to cross-sectoral referral processes. Consultation mechanisms will also be established which will lead to semi-annual Public Consultations on Program implementation.

35. Result Area 2 also supports establishment and development of a social registry to ensure service delivery of complementary services, especially among female participants. A unique household form will be designed and adopted which will be used for all government services including the universal government-provided health care, which will enable household information to be gathered and shared



with relevant MDA, when needed, with due attention to confidentiality. In this way, should any staff of any agency realize that a household is facing challenges, it can easily pass this information to other relevant agencies. Interagency protocols for information sharing, including referral and counter-referral mechanisms will be defined, and the social registry platform will be used for referrals of social protection beneficiaries to appropriate services. The unique household form will incorporate specific dimensions of gender wellbeing in order to facilitate referrals to adequate services and the implementation of data collection efforts towards the social registry will adopt gender sensitive protocols to reduce risk of gender based violence and increase quality of data collected. The GoS expects that more than 60 percent of social protection beneficiary households will be included in the social registry by the end of the program.

36. Results Area 2 aims to tackle a gender gap in access to economic opportunities. When applying to SWA, participants can be referred to economic opportunity programs if eligible (e.g. working age). The Program aims to increase the fraction of females referred and participating in economic opportunity programs as a means to increase access to programs that offer trainings (technical, lifeskills), employment experience (on-the-job training), and job search counseling. Although SDP provides many of these services, 57 percent of their participants are female and has a high completion rate, female SDP participants only represent 28 percent of the SWA female participants of the same age group, compared to males where this fraction is 79 percent. The Program would reduce the gender gap in access to SDP by increasing this rate to 50 percent by the end of the Program, halving the existing gender gap. This increase in intake of SWA applicants will be informed by the lessons from the Gender Vulnerability Study also included in the Program.

37. Result Area 2 will also support the effectiveness of the HCP by improving the quality of home care services. A new Home Care Agency (HCA) will be established, with guidelines, training requirements, and supervision of caregivers. A training curriculum will be defined for full-time caregivers and a grievance and redress mechanism will be designed and aligned with ASP's grievance and redress mechanisms. The GoS expects that at least 60 percent of full-time caregivers will be trained by the end of the Program, and 60 percent of complaints will be addressed according to the HCA's grievance and redress mechanisms.

38. Result Area 2 will support the shock absorption capacity of ASP program participants through timely delivery of social assistance emergency support. This Result Area will also support the shock responsive role of social protection with especial attention to extreme climate events and other aggregate shocks like the current COVID-19 crisis. Social protection programs can expand benefits or their coverage to mitigate the impacts of an emergency caused by climate change, sector specific shocks, or others as defined by GoS emergency authorities. In the context of the COVID-19 emergency status declared by the GoS, formal workers can be temporarily protected through wage subsidies, but the low skilled informal workers can only rely on SWA and public works schemes, such as the URS to partly offset the impact of emergencies. The Program supports the implementation of operational adjustments of key SP instruments to provide social welfare support to the poor and vulnerable.



Table 2: Program Financing

Source	Amount (US\$ Million)	% of Total
Counterpart Funding	281	90.4
Borrower/Recipient	281	90.4
International Bank for Reconstruction and Development (IBRD)	30	9.6
Total Program Financing	311	

C. Program Development Objective(s) (PDO) and PDO Level Results Indicators

39. **The Program development objective is to strengthen the efficiency and effectiveness of social protection programs in the Seychelles.** Efficiency in this context refers to improvements in allocative efficiency of the various programs, increasingly moving resources toward those with greater needs. The effectiveness of social protection programs refers to providing social protection beneficiaries with access to other services, which can enable them to be economically included, and providing both better quality services and ensuring timely delivery of social assistance support during emergencies.

40. **The PDO level results indicators cover the two results areas discussed before.** On the first results area of allocative efficiency, the Program seeks to improve the targeting, physical and financial, of ASP programs (HCP, IB, DB, and SWA) and to improve the fiscal sustainability of the RP benefits. All of the PDO indicators will be reported and monitored both in aggregate and gender-differentiated format. These objectives will be measured through PDO Indicators for Results Area 1:

- *Number of Retirement Pension beneficiaries.* This indicator reflects the increased retirement age and other measures to contain cost increases. The Program projects a decrease from the projected 13,300 beneficiaries in 2024 without reform to no more than 11,600 with reforms by end-2024.
- *Percentage of newly qualifying individuals awarded full-time (by gender).* The percentage of new HCP beneficiaries qualifying for full-time home care is expected to decrease from 79 to 70 percent as expenditures are focused on those more objectively identified as high need.
- *Number of beneficiaries of social safety net programs (by both overall and by gender).* While the total number of beneficiaries is not expected to be largely affected, the composition of those beneficiaries will be impacted.

41. On the results area 2 of increased effectiveness, the Program seeks to increase the quality of service delivery of selected ASP programs by improving the referrals to complementary services to enhance employability, providing better quality of services and delivering timely social assistance to households in emergency situations. This will be measured with the following PDO Indicators:

- *Percentage of women SWA beneficiaries referred to other MDAs for services (Percentage).* This indicator aims to reflect the increased access to economic empowerment programs by female



participants. Fifty percent of SWA female beneficiaries are referred to relevant services, including job training, rehabilitation, and job search (Percentage of eligible SWA referred to other MDAs for relevant services). Given the high level of SWA beneficiaries that are women, these complementary services are meant to empower women and allow them to be economically included and provided with a growth path which will provide both them and their children with more economic security and resilience.

- *Improved Quality of HCP care services.* The Program is expected to increase the share of new high need HCP beneficiaries that receive care from a certified trained caregiver from 5 percent to 60 percent by 2024.
- *Increased Number of SWA beneficiaries during emergency period.* This indicator reflects the increased capacity to absorb extreme climate events and economic shocks through SWA expansion. This measures the increased number of SWA beneficiaries during the Covid Emergency, projected to increase from 2400 in 2019 to an average of 3800 monthly cases by in the May 2020 to April 2021 period.

D. Disbursement Linked Indicators and Verification Protocols

42. **The PforR operation aims to help the Government achieve the objectives of strengthening the efficiency and effectiveness of social protection programs in the Seychelles.** The PforR stresses the importance of: (i) allocating a higher percentage of social protection spending toward those in need, including the elderly; and (ii) providing referrals to other services to social protection beneficiaries and ensuring that home care beneficiaries receive better quality home care. To this end, five disbursement-linked (some scalable) indicators have been selected to help promote the achievement of the objectives. The scalable indicators provide targets of new applicants for HCP, IB, and DB to be assessed under the new criteria. Should the GoS achieve partial completion of these targets prior to the indicative timelines, it may request disbursement of the relevant amount, proportional to the extent of achievement. Table 2 describes each of these and the rationale behind their selection. More details can be found in Annex 1.

43. **The achievement of the results detailed in the DLIs will be monitored by the Social Protection Technical Working Group (TWG) and verified by the Office of the Auditor General.** The objective is to contribute to the creation and strengthening of the Social Protection TWG's capacity to provide oversight and monitoring and to report to the Interministerial Committee for Social Protection (ICSP).

III. PROGRAM IMPLEMENTATION

A. Institutional and Implementation Arrangements

44. **Implementation of the PforR will be the joint responsibility of the Ministry of Finance, Economic Planning and Trade (MFEPT) and the MESA.** To ensure coordination of the PforR, the Ministers of MFEPT and MESA will jointly chair the ICSP that includes the MOE, Ministry of Health (MOH), Ministry for Local Government and Community Affairs (MLGCA), and other relevant agencies. The Cabinet of Ministers is responsible for the emergency declaration to ensure independent triggering of shock responsive social protection measures. The Minister-level ICSP has the responsibility to oversee implementation of the



Program, monitor key outcomes, and ensure policy coordination among different MDAs. The ICSP is also responsible for reviewing and adopting specific measures for implementation of the Program and, when required, the ICSP is the consultative space before submission of specific normative instruments to the legislative body (National Assembly). The MFEPT in its role as co-chair will be responsible for the fiduciary activities of the Program.

Table 3: The Rationale Behind the Disbursement Linked Indicators

DLIs	Rationale
I. Improving the allocative efficiency of social protection programs	
<i>DLI 1: Improving fiscal sustainability of the Retirement Pension</i>	In the absence of reform, the number of RP beneficiaries will almost double by 2030. The DLI supports raising the retirement age to 65 by 2023 and adopting further reforms which would reduce the projected RP spending as a percentage of the Government budget by 10 percent by 2050.
<i>DLI 2: Improving efficiency and transparency of social protection programs.</i>	The DLI supports improvements in targeting efficiency through revised assessment methodologies for (i) socioeconomic conditions incorporating gender specific measures of wellbeing, and (ii) functional disability criteria. This DLI supports assessment of 100 percent of new HCP applicants based on functional impairment and a more comprehensive means test, allowing resources to be focused on those with the greatest need. As with home care needs, eligibility for invalidity and disability pensions will be based on internationally recognized functionality impairment rather than the bodily impairment currently in use for 100 percent of new applicants. This DLI also supports increased transparency of social protection through strengthening ASP payroll systems processes, procedures and internal controls.
II. Providing social protection program beneficiaries with better quality services, increasing access to other services and ensuring timely delivery of social assistance support during emergencies	
<i>DLI 3 Adopt an interdisciplinary approach to social protection by coordinating across MDAs and establishing a social registry which can be used to coordinate services across the MDAs.</i>	Social protection beneficiaries require services as well as cash to become productive citizens. The DLI will support the MDAs in providing those services to coordinate through ICSP and establish a social registry with information on beneficiaries which can be shared. The social registry data collection will adopt gender sensitive protocols to maximize quality of data, especially on gender dimensions, and reduce gender-based violence risks.
<i>DLI 4: Providing better quality services to social protection beneficiaries.</i>	Social protection beneficiaries will be provided referrals to services providers by other MDAs. This DLI will support the enhanced participation of female beneficiaries of social assistance in economic empowerment programs, halving the gender gap in access to SDP. The DLI will also support the increased use of trained caregivers for at least 60 percent of home care beneficiaries deemed to have a high level of care needs.
<i>DLI 5. ASP increasing number of social welfare Beneficiaries in response to the COVID-19 crisis</i>	This DLI will support the adaptation of social protection to better absorb extreme climate events and economic shocks that have a disproportionate effect on the poor and vulnerable. The COVID-19 emergency has resulted in severe income loss for many Seychellois, especially the self-employed and less skilled. The number of SWA beneficiaries are expected to rise from 2400 monthly in 2019 to 3800 per month in May 2020 through April 2021.



45. **The ASP is the Technical Secretariat (TS) for the ICSP, responsible for the technical activities of the Program.** The TWG chaired by the TS includes Principal Secretaries of the ICSP MDAs and includes the Department of Information Communications Technology (DICT). The TWG is responsible for the technical analysis of Program specific measures, preparation of Program Action Plans, making decisions on operational implementation of Program activities, and supporting ICSP in their functions. ASP, as chair of the TWG, will be responsible for implementing activities related to its function with support of TWG members.

46. **During implementation, the TWG will be responsible for regular reporting to the World Bank on fiduciary aspects of implementation, regular reporting of Program progress, as well as monitoring and achievement of DLIs and other intermediate indicators.** The TWG will consolidate required information from MFEPT on execution of eligible expenditures programs as well as specific MDAs' achievements (DLIs) to trigger disbursements.

B. Results Monitoring and Evaluation

47. **The TWG will be responsible for monitoring and evaluation activities under the Program.** The TS will establish a dashboard for Program implementation activities including the monitoring of Program outcomes, disbursement linked indicators, and results. The TWG is also responsible for reporting on compliance of Environmental and Social Standards Assessment (ESSA) guidelines and ESSA action plan activities to both the ICSP and the World Bank. The indicators in the Program Results Framework will be regularly reported by the TWG.

48. **Seychelles has very limited evaluation of its social protection expenditures, processes or impacts.** The implementation of the Programme Performance Based Budget (PPBB) across MDAs has triggered a policy discussion that links budgetary allocations and execution to policy priorities. Under this PforR, the ICSP will manage social policy design and evaluation activities. These activities, financed by the GoS, will receive technical supervision as part of the supervision activities of the PforR.

49. **The Program will increase coordination, monitoring and evaluation of the government program by establishing a chain of connected Program activities that result in Program outcomes.** The Program activities includes a number of diagnostic tools to inform the implementation of the Reform, including social protection expenditure assessments, program process evaluations, participatory assessment to reform activities, and regular focus group consultations. The PforR would carry out an impact evaluation of the main reform activities, such as the HCP reform aimed at assessing the impact on households affected by the policy changes among others. The PforR would also establish regular activities to facilitate policy discussions and enhance the evaluation capacity of the Government and non-Government actors. The World Bank will also monitor the Program outcomes closely, particularly with regard to gender-specific outcomes, ensuring that the program activities move toward empowering women and do not have negative consequences on women.



C. Disbursement Arrangements

50. **Within the set of DLIs, each DLI has been allocated a specific amount of the PforR resources, with the overall allocation of resources reflecting the relative importance of each of the results' areas and the time estimated to achieve the result.** Accordingly, US\$12 million has been allocated toward Result Area 1 DLIs and US\$18 million toward Result Area 2 DLIs. Table 6 shows the specific amounts and an indicative schedule of disbursements. Assessments would be conducted in December of each year to determine the progress toward reaching each result, and disbursements would take place in December or January of each year. A number of the DLIs are scalable to allow partial disbursement depending on the progress toward achieving that result. Specific formulas for this disbursement are provided in Annex 2.¹¹ Also, non-achievement of a DLI by the indicative time still allows subsequent disbursements once the achievement of the DLI target has been verified. Conversely, should a DLI be achieved earlier than what is specified in the indicative schedule, the government may request disbursement of resources commensurate with the actual result achieved at that time. DLR 2.1 is aprior result that has already been completed with an associated amount of US\$1 million, and no advances will be provided for results that have not yet been achieved.

D. Capacity Building

51. **The PforR will support capacity building on key areas required for implementation.** First, the MESA will strengthen its capacity in socioeconomic assessments carried out at different levels. As discussed earlier, these include a revision of the socioeconomic information for program applicants, preparation of operational guidelines for social protection activities, a climate change risk identification and contingent response plans, and training of personnel for implementation of the programs, among others. Second, the MFEPT will strengthen its capacity for monitoring and evaluation of social protection programs in order to discuss the diagnostics and evaluations discussed before. Third, the PforR will strengthen the capacity for the key GoS actors on activities discussed in the ESSA implementation plan, disclosed August 20, 2020 on the ASP website. Although fiduciary activities, for which capacity building will be provided, remain under the TWG, technical specifications of different activities will be produced and agreed by MDAs in the TWG.

52. **The PforR will also support critical policy and operational work on gender issues.** In Seychelles, as noted earlier, more than half of households are female headed (58 percent). Women and their children are particularly vulnerable, with more than 85 percent of SWA beneficiaries being women. The Program Action Plan supports work on looking at the causes of female vulnerability in an integrated way to provide insight into how it may be addressed through policy. Completion of this work is included as part of the intermediate results and will inform policy changes in the last two years of the Program as well as beyond. In particular, this study will exploit the SWA information and the preliminary results of the referrals to economic empowerment programs, to further examine the effectiveness of existing referral protocols and identify measures to improve take up and graduation from such programs. Gender based violence is also

¹¹ DLRs 2.6, 2.8, 2.9, 3.1, 3.2, 4.1, 4.2, and 5 are scalable, with details on the scalability provided in Annex 2.



an issue and has been noted with regard to the HCP. The Program will support inclusion of materials on Gender Based Violence in the curriculum for home caregivers.



Table 4: DLIs and Indicative Disbursements

#	DLI Description	DLI Baseline	Indicative Timeline for DLR Achievement					Total Financing Allocated to DLI	As % of Total Financing Amount
			May 2021	December 2021	December 2022	December 2023	December 2024		
I. Improving the allocative efficiency of social protection programs									
1	Improving fiscal sustainability of Retirement Pension	No			DLR 1.1: The Recipient has enacted and published in the Government Gazette a law increasing the retirement age for the Retirement Pension to 65 years old beginning in January 1, 2023	DLR 1.2: The Recipient’s Cabinet has issued a decision on further retirement pension reform(s), expected to reduce the projected spending on Retirement Pension as a percentage of government budget by 10% in 2050			
	Allocated amount				3.0	1.0		4.0	13.3%
2	Improving efficiency and transparency of social	0%	DLR 2.1: MoH has adopted the WHODAS 2.0 criteria for	DLR 2.2: ASP and SPF have merged their assessment boards and adopted WHODAS		DLR 2.6: MoH and ASP have assessed 100% of the new applicants for	DLR 2.8: HCA and ASP have assessed 100% of the new HCP applicants		



#	DLI Description	DLI Baseline	Indicative Timeline for DLR Achievement					Total Financing Allocated to DLI	As % of Total Financing Amount
			May 2021	December 2021	December 2022	December 2023	December 2024		
	protection programs.		home care assessment ¹²	2.0 criteria for assessing the applicant eligibility for IB and DB		IB and DB pursuant to the WHODAS 2.0 criteria	pursuant to the WHODAS 2.0 criteria and revised socioeconomic needs assessment		
					DLR 2.4: ASP has adopted a revised socioeconomic needs assessment based on non-income dimensions of poverty.		DLR 2.9: ASP has assessed 100% of the new applicants to SWA pursuant to the new socioeconomic needs criteria		
				DLR 2.3 ASP has implemented immediate fiduciary controls which have: (i) eliminated multiple payroll records for the same beneficiary; (ii) ensured all beneficiaries have their own bank accounts; and (iii)	DLR 2.5: ASP has conducted a comprehensive review of of ASP internal controls and payroll systems to ascertain adequacy and adherence to established country system controls	DLR 2.7: ASP has re-engineered the payroll system business processes based on the results of a comprehensive review and revalidated each			

¹² Prior result. Adoption took place September 2019.



#	DLI Description	DLI Baseline	Indicative Timeline for DLR Achievement					Total Financing Allocated to DLI	As % of Total Financing Amount
			May 2021	December 2021	December 2022	December 2023	December 2024		
				created an audit trail		beneficiary's eligibility			
	Allocated amount		1.0	1.0	1.5	2	2.5	8	26.7%

II. Providing social protection program Beneficiaries with better quality services, increasing access to other services and ensuring timely delivery of social assistance support during emergencies									
3	Adopt an interdisciplinary approach to social protection by coordinating across MDAs and establishing a social registry which can be used to coordinate services across the MDAs	0%		DLR 3.1: ASP has signed inter-agency case management protocols with MESA, MoH, and MoE (including obtaining all necessary regulatory approvals where applicable) for information sharing, including referral and counter-referral mechanisms		DLR 3.2: Recipient has established a social registry that includes 60% of existing social protection beneficiaries			
	Allocated amount			0.5		3.0		3.5	11.7%
4	Providing better quality services to social	0%			DLR 4.1: Trained caregivers within HCA, ASP, and MOH are providing home		DLR 4.2: ASP has referred 50% of the female		



	protection beneficiaries				care to at least 60% of new high need HCP beneficiaries		Beneficiaries of SWA during twelve (12) consecutive months to MDAs for accessing their employability and social services		
					1.5		2.0	3.5	11.7%
5	ASP increasing number of social welfare Beneficiaries in response to the COVID-19 crisis	0%	ASP has increased the coverage of SWA to at least 4,200 people, to assist households in response to the COVID-19 crisis						
			11.0					11.0	36.7%
TOTAL FINANCING ALLOCATED			12.0	1.5	6.0	6.5	4.0	30.0	100%



IV. ASSESSMENT SUMMARY

A. Technical (including program economic evaluation)

53. *Strategic Relevance.* The proposed operation is strategically relevant to the GoS's development objectives, as described in the Vision 2033 document, the NDS 2019-23, and the Social Protection Strategy 2019 that emphasize the critical role of social cohesion and the need for social and economic inclusion. The CPF also emphasizes the need to re-orient the social protection systems to prioritize the bottom 40 percent. This PforR will support the institutional, policy and operational instruments to address key human capital challenges supported by other World Bank financed operations. Key social indicators like school dropouts, teen pregnancy, inactive youth, and substance abuse, reflect structural development problems like uneven economic growth and a skills formation system with limited coverage especially among the poor. This PforR will facilitate addressing these challenges and, in emergency contexts, provide support to protect human capital assets of the most vulnerable families.

54. *Technical Soundness.* The proposed program is expected to have positive impacts on the government's ability to strengthen the efficiency and effectiveness of the social protection system, providing services as well as cash benefits and focusing both on people with more significant needs. The Technical Assessment shows that the combined effect of population aging and elderly-biased social spending would cost the Government as much as four additional percentage points of GDP by 2030 and a further two percentage points of GDP by 2057. At the same time, generous SWA and a host of free services coupled with a rigid labor market, do not provide an upward growth path for those without tertiary education. For the bottom 40 percent with lower educational attainment and learning, there are mainly precarious jobs at close to minimum wage or SWA incomes despite the demand for medium skilled jobs.

55. **The Program looks for efficiencies within the social protection programs to contain some of the aging population costs while targeting available resources on those with the greatest needs.** The Program will support provision of services to individuals to enable them to qualify for productive employment with a positive career track. The inter-institutional referrals and case management supported by the Program will facilitate adequate provision of services and participation into skills (re)training opportunities. Getting individuals into productive work will limit the spread of the two-track economy which has now emerged, with some individuals and households doing well while others stagnate. It will also foster social and economic inclusion.

56. *Institutional arrangements.* **To achieve the efficiency and quality results, greater intra-Governmental coordination will be required, an ICSP to facilitate information mechanisms, allowing data sharing and a case management approach.** The Government of Seychelles has found that providing cash benefits to various categories of individuals and households has not been sufficient to pull them into productive employment and has resulted in the two-track economy. The ICSP will work to complement cash payments with services and add efficiency by eliminating the duplication involved with each ministry offering its own package of services to individuals and households it assesses to be vulnerable. Using a single assessment of vulnerability which is then shared with the other actors will eliminate some of the



duplications in the current system, making the system administratively more efficient and less burdensome for the beneficiaries.

57. *Economic justification.* **The PDO is to strengthen the efficiency and quality of social protection spending in the Seychelles.** Efficiency in this context refers to improvements in allocative efficiency of the various programs, increasingly moving resources toward those with greater needs and creating greater transparency in administration of those programs. The quality of social protection programs refers to the provision of complementary services which assist those who are able to move toward productive employment and increase the quality of life for those who cannot join the labor force.

58. **In the absence of the changes, in particular, the increase in retirement age from 63 to 65, the number of individuals receiving the RP would increase to 13,300 from the current 10,600.** The Program will result in bringing that number down to 11,600 by the end of the program, resulting in both fiscal savings as well as an allocation of resources away from people who are able to work. As life expectancy increases in Seychelles, as in other countries, much of the increase is in healthy years. Maintaining a fixed retirement age as healthy life-years increases results in allocating resources to those who are healthy enough to continue working and away from those who are not.

59. **Similarly, the current HCP provides only two types of care, full day and half day, with almost 80 percent of beneficiaries receiving full-time care.** The Program supports assessments of new beneficiaries into three categories, high, moderate, and low need based on the WHODAS 2.0 methodology. The Program is expected to reduce the number of new beneficiaries receiving the high level of care, which is full day from the current 79 percent to no more than 70 percent, with a continuing reduction over a longer period of time. That reduction will release resources allowing those who require high level of care to receive better quality of care as they will also get trained caregivers, again reallocating toward those with greater needs. The Program will also result in a revision of the means-testing criteria for Home Care benefits, which will allow higher income beneficiaries to contribute to their own care needs, leaving the government support for those with the greater financial and physical needs.

60. **Similar reductions in beneficiaries may not arise in the case of DB and IB and in SWA beneficiaries.** For DB and IB, beneficiaries will be assessed on their functional capabilities. While some with physical impairments may function almost perfectly and would no longer be eligible for benefits, others without physical impairments may suffer from mental ailments which limit their functional capabilities. In these categories, the total number of beneficiaries could increase or decrease, but with eligibility focused on those with greater functional needs. Similarly, in SWA, some households requiring assistance may not actively seek such assistance. The Program will develop a social registry which will allow outreach to those in need whether or not they actively seek assistance or have knowledge of the assistance available to them. In other cases, services, such as job retraining might allow beneficiaries to become employed, reducing the number of beneficiaries. The Program supports coordinating service provision with other MDAs that will allow SWA as well as other social protection beneficiaries to become economically included by helping remove some of the obstacles they face.

61. **The Program is expected to generate significant fiscal savings in programs like the RP or the HCP that could be channeled towards generating incentives for increased employability and productivity of**



the labor force. The potential reductions in costs for the RP and the HCP alone may reduce social protection spending by 0.1 percent of GDP over these four years, with positive impacts in the future. In the long term, the Program driven reforms could be expected to reduce the fiscal cost of RP from 4.1 percent of GDP to 2.6 percent by 2040 (Technical Assessment) and will increase fiscal space of about 1.5 percentage point of GDP in 20 years. The Program agenda for the HCP is expected to provide marginal fiscal savings but increase the effectiveness of the program. About 20 percent of current HCP full time beneficiaries are expected to require low or moderate levels of care but most will keep their full-time care. The short-term economic impact will be modest, and partly offset by the investments on setting up the Home Care Agency and training activities. It is expected that reforms in the HCP will contain costs in the medium term while improving quality of care provided.

62. The Program impacts on SWA will have two separate impacts. First, there is a direct reduction of SWA beneficiaries due to job related requirements. Despite the significant reduction, the small number of beneficiaries will yield a modest reduction in program costs but still significant over time. SWA costs were already reduced to 0.24 percent of GDP (baseline in 2019) and expected to fall to as little as 0.16 percent by 2024. However, the Covid response measures represent a one-year increase of 62 percent in the SWA budget increasing it to 0.36 percent of GDP. The increase in social assistance is relatively modest compared to other countries (global average increase by 139 percent) but the impacts are substantive. Evidence from timely social assistance response to disasters shows that these investments can help offset 3.9 percent of the income per capita through protection of key human capital investments like children's nutrition.¹³

63. The Program is expected to generate climate change co-benefits associated to the increased capacity to absorb extreme climate events and economic shocks. These co-benefits are expected to derive from the adoption of a revised socioeconomic needs assessment that includes non-income dimensions of poverty including climate change exposure (DLR 2.3). Most importantly, the co-benefits are associated to the significant mitigation role of SWA during extreme climate events and other emergencies (DLI5). The exact estimation will be calculated after Board approval.

64. The PforR recognizes the limited analytical work on gender vulnerabilities and supports activities to enhance the information base to identify specific constraints through the social registry and aims to enhance economic participation of female beneficiaries through SWA referrals.

B. Fiduciary

65. **A Fiduciary Systems Assessment (FSA) of the Seychelles Social Protection System PforR was carried out in accordance with Operational Policy/Bank Procedure 9.0.** The Program will rely predominantly on the existing financial management and procurement systems and institutions in Seychelles which have been assessed as sufficient to provide reasonable assurance that the financing under

¹³ Hill, Skoufias and Maher. 2019. The chronology of a disaster: A review and assessment of the value of acting early on household welfare. Poverty Global Practice. February 2019.



the Program will be used for intended purposes, with due regard to the principles of efficiency, effectiveness, transparency, and accountability subject to implementing the activities in the DLI and PAP.

66. **The Program covers the five social protection benefits: RP, IB, DB, HCP, and SWA and financial management arrangements will be carried out using the Government public finance management systems.** The budget codes associated with the programs are: RP 27110010; IB 27110001; DB 27110013; HCP 27210001; and SWA 27410003, and the GoS has moved to Programme Performance Based Budgeting (PPBB) for all MDAs. However, currently all social protection expenditures are determined on an incremental basis and included in the budget as one line in the Fiscal Tables. The expenditures are not planned for nor included in the MDAs PPBB statement. ASP should start applying PPBB practices to plan, execute and report on such expenditures, and this will be part of the Program Action Plan (PAP).

67. **The ASP systems (the payroll and Social Welfare Information System (SWIS)), processes and internal controls set out in the ASP Procedures and Policy Manual and MFEPT Manuals shall be applied to process program transactions subject to implementing proposed actions in the PAP.** Each of the social protection benefits have their own internal control procedures for assessing, approving, and administering as set out in the ASP procedures and policy manual. The Auditor General reported several weaknesses on adequacy and adherence to internal controls in a 2014 report on Social Welfare Assistance. The assessment identified weaknesses in internal controls relating to using manual systems to process beneficiary applications approval and lack of a process to continuously assess the beneficiary's eligibility and changes of status. In addition, an investigation instituted when the Government suspended a senior ASP official (September 2020) due to a suspected fraud, flagged when his commercial bank reported suspicious transaction under AML rules in his account to the Central Bank, revealed significant weaknesses in the ASP's systems, processes and internal controls. The reported weaknesses included: (i) weaknesses in the payroll system (undetected errors in the payroll database that included creation of fictitious beneficiary profiles, transfers list, integrity issues in the payroll reports, repetitive beneficiaries' names on the payroll with more than one benefit being paid, beneficiary getting paid twice the same benefit, and different beneficiaries are sharing the same bank account), (ii) weaknesses in the IT systems such as lack of controls on users' access and an audit trail log; (iii) lack of or inadequate controls (e.g. lack of reconciliation between payrolls records and bank transfers, lack of reconciliation between beneficiary names and account holders). These weaknesses allowed the senior official to embezzle funds for his benefit. The ASP management is implementing reforms to address the weaknesses reported in the Auditor General investigation report.

68. **To address the weaknesses, the FSA recommends a DLI and activities which have been incorporated into the PAP to strengthen fiduciary aspects of the Program implementation.** Specifically, DLI 2 will include measures to improve the transparency in the social protection system, through a series of DLRs. DLR 2.3 will consist of the following results: (i) monthly payroll statement shows a single entry per beneficiary even where an individual is receiving more than one benefit; (ii) 100 percent of beneficiaries to have their own bank accounts into which benefits can be deposited, and (iii) the application of redesigned IT controls of the payroll system with appropriate segregation of duties of data processing, approval, and monitoring, with an audit trail. DLR 2.5 will consist of the issuance of a comprehensive review report and action plan to strengthen and re-engineer the social protection system (the payroll and SWIS) that include processes, procedures, tools and related internal controls. The review should be done by an institution that comprise a multi-disciplinary team - IT specialist and auditors – selected by the Government, following a terms of reference agreed upon with the World Bank. DLR 2.7 will



consist of: (i) a complete reengineering of payroll system business processes based on the results of the comprehensive review, and (ii) revalidation of each beneficiary's eligibility.

69. **Internal and external audit.** The Internal Audit Division shall annually perform a review to establish the status of implementation of reforms being implemented by management to address weaknesses reported in investigation reports and the action plan developed after conducting the comprehensive review and check the effectiveness of the operation of the re-engineered systems, processes and internal controls. The first report shall cover period from project effectiveness to December 31, 2022. A copy of the report shall be submitted to the World Bank four months after year end, first one due by April 30, 2023. The Auditor General shall conduct a separate audit of the Program expenditure annually. The audit report will require to be submitted to the World Bank together with the detailed management letter of ASP, 12 months after the year end. The Auditor General will also be required to perform agreed upon procedures review to assess adherence with the reengineered systems, processes and procedures to ensure the social benefits reach the intended beneficiaries, at least every second year. The first such audit shall cover the period from effectiveness to December 31, 2023. The audit will assess the effectiveness, efficiency and transparency of the social protection system. The report is required to be submitted to the World Bank six month from end of calendar year to which it applies, first one due by June 30, 2024.

70. **The World Bank will provide continuous monitoring and implementation support, and regularly monitor the status of implementation of PAP, which the implementing agency shall report on at the end of every quarter.** The World Bank shall perform half yearly Program implementation support missions to reassess fiduciary arrangements performance and risks that may arise during program implementation. The support shall also include review of audit reports, following up on program audit findings, following up on reports on fraud and corruption, contributing in validating the fiduciary DLI results verification, monitoring contracts to ensure they have not been awarded to the sanctioned firms, follow up to check that funds flow operate as intended and provide any required implementation support and advice.

71. **The Program is largely financing non procurable expenditures such as social transfers, but the procurement system was assessed to cover other expenditures.** The performance and efficiency of the procurement system throughout the procurement cycle is globally acceptable: (i) contracts tend to be open tender (competitive basis) as mentioned in the Public Expenditure and Financial Accountability (PEFA) report of 2016; (ii) for a national tender, the bidding document is to be paid, but it is free for open competition at the international level; (iii) bids opening is transparent, widely accepted by all bidders and takes place at the National Tender Board. Nevertheless, there are still challenges in the following points: (i) the template of advertisement has no date, preventing the reviewer or bidder to know the exact duration of the advertisement; (ii) pre-tender meetings are mandatory, limiting the access to information for international candidates; (iii) the bidding document is only available during a limited range of time which may limit the number of bidders; and (iv) the PEFA report raised the issue of a large percentage of contracts being awarded through direct selection.

72. **Additional practices will be applied to mitigate the risk of fraud and corruption under the Program.** Firstly, the World Bank "Guidelines on Preventing and Combating Fraud and Corruption in Program for Results Financing dated February 1, 2012 and revised on July 10, 2015" shall apply to this



Program. Requirements under these guidelines that the implementing agency will be required to observe include (a) borrower's obligation to inform World Bank about all Fraud and Corruption related allegations and investigations on an annual basis, (b) World Bank's right to conduct administrative enquiries, and (c) Ineligibility of debarred firms for contract awards. ASP was informed that these guidelines shall be applicable for all activities within the Program boundary and not the parts of government program that are outside these boundaries. As an action item under the resulting Program, it is required that at the time of bid opening each procurement agency shall ensure that none of the participating bidder is listed in the World Bank's latest online list of debarred firms. The Commission shall be required to continue to accelerate its public awareness programme. Thirdly, GRM will require to be implemented across all MDAs.

C. Environmental and Social

73. **The World Bank ESSA mission conducted in July 2019 confirmed the initial assessment that the PforR, as is currently designed, is a Low Risk Program on the environmental aspects.** Indeed, discussions with the key ministries that will be involved during the implementation of the Program, indicate there is no activity that is likely to cause significant negative impacts to the environment, either in terms of spatial scale, magnitude, or in terms of duration. Furthermore, the Program does not involve any construction or any "development" activity, as defined under the Environment Protection Act (EPA), 2016 planned, nor any activity to be undertaken in protected or ecologically sensitive areas

74. **On the social side, the proposed program activities will have no major social impacts, as land acquisition and resettlement are not anticipated.** Direct and indirect risks are associated with ESSA Core Principles 5 and 6, which require due consideration of the needs and concerns of vulnerable groups and the need to avoid exacerbating social conflicts. Under Core Principle 5, the program could adversely impact several vulnerable groups who were repeatedly highlighted as particularly vulnerable during the ESSA process. The groups consist of alcohol and drug users (estimated to be five percent of the population), teenage mothers, female-headed households with intergenerational patterns of teenage pregnancy. The ESSA shows that the program will require a comprehensive understanding of the extent planned program activities are likely to impact on these groups and adopt measures to minimize/mitigate the expected risks and negative impacts and to enhance the positive ones.

75. *Policy and Institutional Context.* **While the overall environmental risk management system is robust, all the responsibilities for managing environmental risk lie under MEECC.** In the case of the Program, articulations of institutional responsibilities and resources to support implementation plans need to be clarified: indeed, the key institutions for the implementation of the program do not necessarily have either the information nor the capacity to address environmental issues, should they arise.

76. **The national social management systems to deal with vulnerability and conflict are well defined and established.** The country's constitution recognizes the rights and need for protection of vulnerable groups, but only makes explicit reference to the need for protection of the children, young persons, aged, and disabled people. Working mothers are also protected as are families. No mention is made of alcohol and drug use or teenage mothers. It also refers to mechanisms for resolving conflict or grievances such as



the court system and appeal procedures as well as grievance redress. Other constitutional provisions relate to citizen participation and access to information.

77. **A capacity assessment of the PforR implementing agency, ASP, was carried out.** At the ASP level, issues of vulnerability are highly recognized. The ASP has an established complaint handling mechanism, both formal and informal. The Agency has adequate staff in place to handle case work but would benefit from some specialized functions such as on communication, stakeholder consultations, and monitoring and evaluation.

78. *Consultations were held on the ESSA in two rounds in April 23-26, 2019 and in August 11-16, 2019.* **The main issues emerging from the consultations were:** (i) the need for monitoring and evaluation of social programs; (ii) concerns about the capacity of other agencies involved in the PforR implementation; and (iii) establishing a relationship between ASP and civil society organizations in delivering social programs.

D. Risk Assessment

79. **The Program has a high macroeconomic risk and a substantial fiduciary risk.** Due to the COVID-19 crisis, the macroeconomic risk is considered high. While Seychelles itself has had limited COVID-19 cases and is actively vaccinating the population, recovery in the Seychelles will be highly dependent on unclear tourism future demands. However, prior to the crisis, Seychelles had a prudent fiscal stance. This risk is mitigated by the accompanying DPO supporting policy measures to ensure rapid economic recovery. All indications are that the Government has already made plans to return to its prudent stance as soon as it will be economically feasible. The fiduciary risk is assessed as substantial due to significant weaknesses in the ASP's systems, processes and internal controls as reported in an investigation report by the Auditor General (2020). A senior ASP official managed to manipulate the systems to embezzle funds. The ASP management is implementing reforms to address the weaknesses. The program has proposed mitigating measures in the DLI and the PAP.

V. GRIEVANCE REDRESS SERVICES

80. **Communities and individuals who believe that they are adversely affected by a World Bank (WB) supported project may submit complaints to existing project-level grievance redress mechanisms or the WB's Grievance Redress Service (GRS).** The GRS ensures that complaints received are promptly reviewed in order to address project-related concerns. Project affected communities and individuals may submit their complaint to the WB's independent Inspection Panel which determines whether harm occurred, or could occur, as a result of WB non-compliance with its policies and procedures. Complaints may be submitted at any time after concerns have been brought directly to the World Bank's attention, and Bank Management has been given an opportunity to respond. For information on how to submit complaints to the World Bank's corporate Grievance Redress Service (GRS), please visit <http://www.worldbank.org/en/projects-operations/products-and-services/grievance-redress-service>. For information on how to submit complaints to the World Bank Inspection Panel, please visit www.inspectionpanel.org.



ANNEX 1. RESULTS FRAMEWORK MATRIX

Results Framework

COUNTRY: Seychelles

Strengthening Quality of the Social Protection System

Program Development Objective(s)

The development objective is to strengthen the efficiency and effectiveness of social protection programs in the Seychelles.

Program Development Objective Indicators by Objectives/Outcomes

Indicator Name	DLI	Baseline	End Target
Improving the allocative efficiency of social protection programs			
Percentage of newly qualifying individuals awarded full time care (Percentage)		79.00	70.00
Percentage of newly qualifying women beneficiaries awarded full time care (high need status) (Percentage)		79.00	70.00
Beneficiaries of social safety net programs (CRI, Number)		17,511.00	18,000.00
Beneficiaries of social safety net programs - Female (CRI, Number)		9,387.00	9,400.00
Number of Retirement Pension beneficiaries (Number (Thousand))		10.60	11.60



Indicator Name	DLI	Baseline	End Target
Number of women benefiting from Retirement Pension (Number (Thousand))		6.00	6.30
Providing beneficiaries with better quality and increased access to services and emergency support			
Improved Quality of HCP care services (Percentage)		5.00	60.00
Percentage of women high need HCP beneficiaries receiving care from a trained caregiver (Percentage)		5.00	60.00
Number of SWA beneficiaries during emergency period (Number)		1,104.00	3,800.00
Number of women beneficiaries of COVID-19 during the COVID-19 crisis (Number)		939.00	1,800.00
Percentage of women SWA beneficiaries referred to other MDAs for services (Percentage)		10.60	50.00



Intermediate Results Indicator by Results Areas

Indicator Name	DLI	Baseline	End Target
Improving fiscal sustainability of Retirement Pension			
Retirement age increased to 65 years old to begin in January 2023 enacted and published in the Government Gazette (Yes/No)	DLI 1.1	No	Yes
Cabinet decision on further reforms to Retirement Pension expected to reduce the projected spending on retirement pension as a percentage of government budget by 10% in 2050 (Yes/No)	DLI 1.2	No	Yes
Improving efficiency and transparency of social protection programs			
Adoption of WHODAS 2.0 criteria for assessing eligibility for home care (Yes/No)	DLI 2.1	No	Yes
New applicants for home care assessed under WHODAS 2.0 criteria and revised socioeconomic needs assessment (Percentage)	DLI 2.8	0.00	100.00
ASP and SPF have merged their assessment boards for disability and invalidity benefits using the WHODAS 2.0 criteria and based on inability to do any type of work (Yes/No)	DLI 2.2	No	Yes
New IB and DB applicants assessed under revised criteria following WHODAS 2.0 and based on an inability to do any type of work (Percentage)	DLI 2.6	0.00	100.00
Revised eligibility criteria for social welfare assistance with socioeconomic needs assessment based on non-income dimensions of poverty (Yes/No)	DLI 2.4	No	Yes
SWA applicants assessed under revised socioeconomic needs assessment (Percentage)	DLI 2.9	0.00	100.00
ASP management undertook emergency measures including:(i)monthly payroll with 1 entry per beneficiary;(ii)100%		No	Yes



Indicator Name	DLI	Baseline	End Target
of beneficiaries with own bank accounts; (iii) redesign of IT controls and audit trail (Yes/No)			
Issuance of comprehensive report and action plan to strengthen and re-engineer the social protection systems, including processes, procedures, tools, and related internal controls (Yes/No)		No	Yes
Re-engineering of payroll system business processes and revalidation of each beneficiary's eligibility (Yes/No)		No	Yes
Adopting interdisciplinary approach to social protection by coordinating across MDAs			
Interagency protocols for information sharing signed allowing, including referral and counter-referral mechanisms (Number)	DLI 3.1	0.00	3.00
Establishment of social registry that includes at least 60% of existing social protection beneficiaries (Percentage)	DLI 3.2	0.00	60.00
Completed assessment of special vulnerabilities of women leading them to rely on SWA (Yes/No)		No	Yes
Providing better quality services to social protection beneficiaries			
Percentage of newly assessed high need HCP beneficiaries provided home care by a trained caregiver provided by HCA, ASP, or MoH (Percentage)	DLI 4.1	5.00	60.00
Percentage of female social welfare assistance beneficiaries being referred to other MDAs for employability and social services (Percentage)	DLI 4.2	10.60	50.00
ASP increasing number of social welfare beneficiaries in response to the COVID-19 crisis			
ASP has increased the average monthly coverage of SWA beneficiaries to at least 3800 between May 2020 and April 2021 (Number)	DLI 5, 5.1	1,104.00	3,800.00



Monitoring & Evaluation Plan: PDO Indicators

Indicator Name	Definition/Description	Frequency	Datasource	Methodology for Data Collection	Responsibility for Data Collection
Percentage of newly qualifying individuals awarded full time care	Percentage of new HCP applicants awarded full-time care should not exceed 70 percent	Annual	Agency for Social Protection; Ministry of Health; Health Care Agency		Social Protection Technical Working Group
Percentage of newly qualifying women beneficiaries awarded full time care (high need status)	Number of full day care awardees should be no more than 70 percent				
Beneficiaries of social safety net programs		Annual	ASP	Given that Seychelles has a number of social protection programs funded directly by the budget which do not require contributions, the safety net beneficiaries in this case will include all those benefiting from Retirement Pension, Invalidity Benefits, Disability Benefits, Home Care Program, and Social Welfare Assistance.	ASP



Beneficiaries of social safety net programs - Female		Annual	ASP Reports, disaggregated by gender	Sum of RP, HCP, IDP and SWA beneficiaries, females only.	ASP
Number of Retirement Pension beneficiaries	Number of Retirement Pension beneficiaries should not exceed 11,600.	Annual. End of the year.	ASP, Ministry of Finance		TWG-ASP
Number of women benefiting from Retirement Pension			ASP		
Improved Quality of HCP care services	Percentage of full-time care recipients receiving care from a trained caregiver	Annual	ASP and Home Care Agency		TWG-ASP
Percentage of women high need HCP beneficiaries receiving care from a trained caregiver					
Number of SWA beneficiaries during emergency period	Number of SWA beneficiaries increased during the COVID emergency in 2020-21	Monthly	ASP		ASP
Number of women beneficiaries of COVID-19 during the COVID-19 crisis	Average monthly number of SWA beneficiaries during COVID-19 months, April to June 2020.		ASP		
Percentage of women SWA beneficiaries referred to other MDAs for services	Number of females SWA participants that are referred and participate in other MDA programs addressing employability	Annual	ASP for SWA applicants and participants. Relevant MDAs for	Baseline is estimated as the number of female participants in SDP as a fraction of the females in SWA within the same	ASP



	and other social services.		employability related programs.	age group.	
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Monitoring & Evaluation Plan: Intermediate Results Indicators

Indicator Name	Definition/Description	Frequency	Datasource	Methodology for Data Collection	Responsibility for Data Collection
Retirement age increased to 65 years old to begin in January 2023 enacted and published in the Government Gazette	New legislation appears in the Gazette	End of period	Publication in the Gazette	Publication in Gazette	Auditor General
Cabinet decision on further reforms to Retirement Pension expected to reduce the projected spending on retirement pension as a percentage of government budget by 10% in 2050	Cabinet approval of paper on pension reform	End of period	Cabinet minutes showing approval of pension reform concept	World Bank PROST software would be used to calculate the projected share of government budget to be spent on Retirement Pension in 2050 in the absence of reform and with the proposed reform	Technical Working Group
Adoption of WHODAS 2.0 criteria for assessing eligibility for home care	Minutes of Ministry of Health meeting showing adoption	End of program	Cabinet minutes	Auditor General	Ministry of Finance
New applicants for home care assessed under WHODAS 2.0 criteria and revised socioeconomic needs assessment	Percentage of applicants assessed under new criteria	End of Program	Ministry of Health; Agency for Social Protection	Percentage of new HCP applicants assessed under new criteria in previous 12 months.	Technical Working Group for Social Protection
ASP and SPF have merged their assessment boards for disability and invalidity benefits using the WHODAS 2.0	Decision unifying assessment criteria for eligibility for disability and	End of Program	Agency for Social Protection;		Technical Working Group



criteria and based on inability to do any type of work	invalidity benefits provided by Agency for Social Protection and Seychelles Pension Fund		Seychelles Pension Fund		
New IB and DB applicants assessed under revised criteria following WHODAS 2.0 and based on an inability to do any type of work	Percentage of new applicants for invalidity and disability pension assessed under new criteria adapted from WHODAS 2.0	End of program	Ministry of Health; Agency for Social Protection; Seychelles Pension Fund	Percentage of applicants assessed under new criteria	Technical Working group
Revised eligibility criteria for social welfare assistance with socioeconomic needs assessment based on non-income dimensions of poverty	ASP has adopted a revised socioeconomic needs assessment based on non-income dimensions of poverty	End of program	ASP regulations	Evaluate criteria used by ASP to see whether they include factors other than income	Technical Working Group
SWA applicants assessed under revised socioeconomic needs assessment	Percentage of new applicants for SWA assessed according to the revised socioeconomic needs assessment	End of program	ASP	Calculate percentage of new applicants assessed under revised criteria over last 12 months	Technical Working group
ASP management undertook emergency measures including:(i)monthly payroll with 1 entry per beneficiary;(ii)100% of beneficiaries with own bank accounts;(iii)redesign of IT controls and audit trail	ASP management has undertaken a series of emergency reforms resulting in the following: (i) monthly payroll statement shows a single entry per beneficiary even where an individual is	End of period	ASP	Monthly payroll statement shows no duplicate beneficiaries, but shows all benefits received by a particular beneficiary on the same entry; 100 percent of	



	receiving more than one benefit; (ii) 100 percdnt of beneficiaries with their own bank accounts into which benefits can be deposited; and (iii) the application of redesigned IT controls of the payroll system with appropriate segregation of duties on data processing, approval, and monitoring with an audit trail.			beneficiaries with own bank accounts and no cash payments Redesigned IT controls with an audit trail	
Issuance of comprehensive report and action plan to strengthen and re-engineer the social protection systems, including processes, procedures, tools, and related internal controls	Issuance of a comprehensive report and action plan to strengthen and re-engineer the social protection systems (the payroll and Social Welfare Information System) that includes processes, procedures, tools, and related internal controls. The review should be done by an interdisciplinary team with IT specialists as well as auditors, selected by the Government, following a terms of reference agreed upon	December 2022	ASP	Report and action plan	



	with the World Bank.				
Re-engineering of payroll system business processes and revalidation of each beneficiary's eligibility	Re-engineering of payroll system business processes and revalidation of each beneficiary's eligibility	December 2023	ASP	New business processes manual and numbers of beneficiaries revalidated and numbers of beneficiaries found to be ineligible	ASP
Interagency protocols for information sharing signed allowing, including referral and counter-referral mechanisms	Interagency protocols need to be signed between Agency for Social Protection and Ministry of Health, Ministry of Employment and Social Services, Ministry of Education, and Ministry of Local Government. These will allow information sharing with referral and counter-referral mechanisms.	End of program	Department of ICT	Signed protocols	Technical Working Group
Establishment of social registry that includes at least 60% of existing social protection beneficiaries	Percentage of ASP social protection beneficiary households included in social registry	End of program	Agency for Social Protection	Existence of social registry; percentage of ASP beneficiaries contained in the social registry	Technical Working Group
Completed assessment of special vulnerabilities of women leading them to	Completion of study assessing special	End of Program	Technical Working	Copy of study	Technical Working



rely on SWA	vulnerability of women leading to a reliance on SWA		Group		Group
Percentage of newly assessed high need HCP beneficiaries provided home care by a trained caregiver provided by HCA, ASP, or MoH	Under the Home Care reform, beneficiaries will be assessed and divided into three categories: low, medium, and high need. Those providing care for high need beneficiaries will be trained. The indicator is the percentage of newly assessed high need beneficiaries receiving care from a trained caregiver.	End of Program	Agency for Social Protection; Home Care Agency	Calculate the percentage of newly assessed high need beneficiaries in the past 12 months who have been assigned a trained caregiver	Technical Working group.
Percentage of female social welfare assistance beneficiaries being referred to other MDAs for employability and social services	Social welfare assistance beneficiaries have needs for other services, including drug rehabilitation services from Ministry of Health, retraining services from Ministry of Education, job search services from Ministry of Employment, social counseling from Ministry of Youth, Sports, and Family Affairs, etc. Under this indicator 50% of female SWA beneficiaries are expected to be referred	End of Program	Agency for Social Protection	Percentage of female SWA beneficiaries who have been referred to other MDAs for services.	Technical Working Group



	to these other agencies for these services.				
ASP has increased the average monthly coverage of SWA beneficiaries to at least 3800 between May 2020 and April 2021	Average number of monthly SWA beneficiaries during the months of May 2020 through April 2021	One time in April 2021	Agency for Social Protection	Calculate average number of monthly household beneficiaries from May 2020 to April 2021	Technical Working group



ANNEX 2. Disbursement Linked Indicators, Disbursement Arrangements and Verification Protocols

Disbursement Linked Indicators Matrix				
DLI 1	Improving fiscal sustainability of Retirement Pension			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	No	Yes/No	4,000,000.00	1.29
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	No		0.00	
December 2021	No		0.00	
December 2022	Yes		3,000,000.00	
December 2023	Yes		1,000,000.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	



DLI 1.1	The Recipient has enacted and published in the Government Gazette a law increasing the retirement age for the Retirement Pension to 65 years old beginning on January 1, 2023.			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	3,000,000.00	0.96
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	No		0.00	
December 2021	No		0.00	
December 2022	Yes		3,000,000.00	
December 2023	Yes		0.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 1.2	The Recipient's Cabinet has issued a decision on further retirement pension reform, which reduces projected spending on the Retirement Pension as a percentage of government budget by 10% in 2050			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Process	No	Yes/No	1,000,000.00	0.32
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			



Prior Results	No		0.00	
December 2021	No		0.00	
December 2022	No		0.00	
December 2023	Yes		1,000,000.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 2	Improving efficiency and transparency of social protection programs			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	No	Percentage	8,000,000.00	26.70
Period	Value		Allocated Amount (USD)	Formula
Baseline	79.00			
Prior Results	79.00		1,000,000.00	
December 2021	79.00		1,000,000.00	
December 2022	79.00		1,000,000.00	
December 2023	79.00		2,000,000.00	
December 2024	70.00		3,000,000.00	



March 2025	70.00		0.00	
DLI 2.1	MoH has adopted the WHODAS 2.0 criteria for home care assessment			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Process	No	Yes/No	1,000,000.00	0.32
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	Yes		1,000,000.00	
December 2021	Yes		0.00	
December 2022	Yes		0.00	
December 2023	Yes		0.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 2.2	ASP and SPF have merged their assessment boards and adopted WHODAS 2.0 criteria for assessing applicant eligibility for invalidity and disability benefits			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Process	No	Yes/No	500,000.00	2.00
Period	Value		Allocated Amount (USD)	Formula



Baseline	No		
Prior Results	No	0.00	
December 2021	Yes	500,000.00	
December 2022	Yes	0.00	
December 2023	Yes	0.00	
December 2024	Yes	0.00	
March 2025	Yes	0.00	
DLI 2.3	ASP has implemented immediate fiduciary controls:(i) eliminated multiple payroll records for same beneficiary;(ii) ensured all beneficiaries have own bank accounts;(iii) and created an audit trail		
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)
Intermediate Outcome	No	Yes/No	500,000.00
Period	Value	Allocated Amount (USD)	Formula
Baseline	No		
Prior Results	No	0.00	
December 2021	Yes	500,000.00	
December 2022	Yes	0.00	
December 2023	Yes	0.00	



December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 2.4	ASP has adopted a revised socioeconomic needs assessment based on non-income dimensions of poverty.			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Output	No	Yes/No	1,000,000.00	0.32
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	No		0.00	
December 2021	No		0.00	
December 2022	Yes		1,000,000.00	
December 2023	Yes		0.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	



DLI 2.5	ASP has conducted a comprehensive review of ASP internal controls and payroll systems to ascertain adequacy and adherence to established country system controls			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	No	Yes/No	500,000.00	2.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	No		0.00	
December 2021	No		0.00	
December 2022	Yes		500,000.00	
December 2023	Yes		0.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 2.6	MoH and ASP have assessed 100% of the new applicants for invalidity benefits and disability benefits pursuant to the WHODAS 2.0 criteria			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	2,000,000.00	7.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			



Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	0.00		0.00	
December 2023	100.00		2,000,000.00	\$500,000 for every 20% until reaching 60%; then \$250,000 for each additional 20%
December 2024	100.00		0.00	\$500,000 for every 20% until reaching 60%; then \$250,000 for each additional 20%
March 2025	100.00		0.00	\$500,000 for every 20% until reaching 60%; then \$250,000 for each additional 20%
DLI 2.7	ASP has re-engineered the payroll system business processes based on the results of a comprehensive review and revalidated each beneficiary's eligibility			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	No	Yes/No	500,000.00	2.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	No			
Prior Results	No		0.00	



December 2021	No		0.00	
December 2022	No		0.00	
December 2023	Yes		500,000.00	
December 2024	Yes		0.00	
March 2025	Yes		0.00	
DLI 2.8	HCA and ASP have assessed 100% of the new HCP applicants pursuant to the WHODAS 2.0 and revised socioeconomic needs assessment			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	1,000,000.00	3.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	0.00		0.00	
December 2023	0.00		0.00	
December 2024	100.00		1,000,000.00	\$300,000 for every 30% until reaching 60% and then \$200,000 for each additional 20%



March 2025	100.00		0.00	\$300,000 for every 30% until reaching 60% and then \$200,000 for each additional 20%
DLI 2.9	ASP has assessed 100% of the new applicants to SWA pursuant to the revised socioeconomic needs assessment			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	1,000,000.00	2.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	0.00		0.00	
December 2023	0.00		0.00	
December 2024	100.00		1,000,000.00	\$300,000 for each 30% until reaching 60% and then \$200,000 for each additional 20%
March 2025	100.00		0.00	\$300,000 for each 30% until reaching 60% and then \$200,000 for each additional 20%



DLI 3	Adopt an interdisciplinary approach to social protection by coordinating across MDAs and establishing a social registry which can be used to coordinate services across MDAs			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	No	Percentage	3,500,000.00	1.13
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	0.00		500,000.00	
December 2023	0.00		0.00	
December 2024	60.00		3,000,000.00	\$1,000,000 for each 20% until reaching maximum of \$3,000,000
March 2025	60.00		0.00	
DLI 3.1	ASP has signed inter-agency case management protocols with each of the MESA, MoH, and MoE for information sharing, including referral and counter-referral mechanisms			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Intermediate Outcome	Yes	Number	500,000.00	2.00
Period	Value		Allocated Amount (USD)	Formula



Baseline	0.00		
Prior Results	0.00	0.00	
December 2021	0.00	0.00	
December 2022	3.00	500,000.00	USD 166,667 for each protocol signed
December 2023	3.00	0.00	USD 166,667 for each protocol signed
December 2024	3.00	0.00	USD 166,667 for each protocol signed
March 2025	3.00	0.00	USD 166,667 for each protocol signed
DLI 3.2	Recipient has established a social registry that includes at least 60% of existing social protection beneficiaries		
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)
Outcome	Yes	Percentage	3,000,000.00
Period	Value	Allocated Amount (USD)	Formula
Baseline	0.00		
Prior Results	0.00	0.00	
December 2021	0.00	0.00	



December 2022	0.00		0.00	
December 2023	0.00		0.00	
December 2024	60.00		3,000,000.00	\$1,000,000 for each 20% until reaching maximum of \$3,000,000
March 2025	60.00		0.00	\$1,000,000 for each 20% until reaching maximum of \$3,000,000
DLI 4	Providing better quality services to social protection beneficiaries			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	No	Percentage	3,500,000.00	11.70
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	60.00		1,500,000.00	High need beneficiaries receiving care from trained caregiver
December 2023	60.00		0.00	
December 2024	60.00		2,000,000.00	
March 2025	60.00		0.00	



DLI 4.1	Trained caregivers within HCA, ASP and MoH are providing home care to at least 60% of new high need beneficiaries of the HCP			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	1,500,000.00	5.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	0.00			
Prior Results	0.00		0.00	
December 2021	0.00		0.00	
December 2022	60.00		1,500,000.00	\$500,000 for each additional 20% until fully disbursed.
December 2023	60.00		0.00	\$500,000 for each additional 20% until fully disbursed.
December 2024	60.00		0.00	\$500,000 for each additional 20% until fully disbursed.
March 2025	60.00		0.00	\$500,000 for each additional 20% until fully disbursed.



DLI 4.2	ASP has referred 50% of the female Beneficiaries of SWA during twelve (12) consecutive months to MDAs for accessing their employability and social services			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	Yes	Percentage	2,000,000.00	7.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	10.60			
Prior Results	10.60		0.00	
December 2021	10.60		0.00	
December 2022	10.60		0.00	
December 2023	10.60		0.00	
December 2024	50.00		2,000,000.00	\$400,000 for every 10% referred up to a maximum of \$2,000,000
March 2025	50.00		0.00	\$400,000 for every 10% referred up to a maximum of \$2,000,000
DLI 5	ASP increasing the number of social welfare beneficiaries in response to the COVID-19 crisis			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	No	Number	11,000,000.00	36.70
Period	Value		Allocated Amount (USD)	Formula



Baseline	1,104.00			
Prior Results	1,104.00	0.00		
December 2021	3,800.00	11,000,000.00	If monthly avg is 3400, disburse \$8,000,000; if 3600, disburse \$10,000,000; if 3800, disburse \$11,000,000	
December 2022	3,200.00	0.00		
December 2023	2,800.00	0.00		
December 2024	2,400.00	0.00		
March 2025	2,400.00	0.00		
DLI 5.1	ASP has increased the monthly average coverage of SWA to at least 3800 people, to assist households in response to the COVID-19 crisis			
Type of DLI	Scalability	Unit of Measure	Total Allocated Amount (USD)	As % of Total Financing Amount
Outcome	No	Number	11,000,000.00	37.00
Period	Value		Allocated Amount (USD)	Formula
Baseline	1,104.00			
Prior Results	1,104.00		0.00	
December 2021	3,800.00		11,000,000.00	If monthly avg is 3400, disburse \$8,000,000; if 3400, disburse



			\$10,000,000; if 3800 or more, disburse \$11,000,000
December 2022	3,200.00	0.00	If monthly avg is 3400, disburse \$8,000,000; if 3400, disburse \$10,000,000; if 3800 or more, disburse \$11,000,000
December 2023	2,800.00	0.00	If monthly avg is 3400, disburse \$8,000,000; if 3400, disburse \$10,000,000; if 3800 or more, disburse \$11,000,000
December 2024	2,400.00	0.00	If monthly avg is 3400, disburse \$8,000,000; if 3400, disburse \$10,000,000; if 3800 or more, disburse \$11,000,000
March 2025	2,400.00	0.00	If monthly avg is 3400, disburse \$8,000,000; if 3400, disburse \$10,000,000; if 3800 or more, disburse \$11,000,000



Verification Protocol Table: Disbursement Linked Indicators

DLI 1	Improving fiscal sustainability of Retirement Pension
Description	Retirement age raised to 65 and Cabinet decision on further RP reform which reduces projected spending on RP as percentage of government budget by 10% in 2050
Data source/ Agency	Ministry of Finance; Agency for Social Protection
Verification Entity	Auditor General
Procedure	Gazette showing new legislation and Cabinet minutes showing approval of further RP reform
DLI 1.1	The Recipient has enacted and published in the Government Gazette a law increasing the retirement age for the Retirement Pension to 65 years old beginning on January 1, 2023.
Description	Retirement age increased to 65 in line with President's announcement in 2017
Data source/ Agency	Gazette
Verification Entity	Ministry of Finance, Trade, Investment, and Economic Planning
Procedure	Law raising the retirement age is published in the Gazette.
DLI 1.2	The Recipient's Cabinet has issued a decision on further retirement pension reform, which reduces projected spending on the Retirement Pension as a percentage of government budget by 10% in 2050
Description	Cabinet decision on further reform to Retirement Pension that reduces the projected spending on Retirement Pension as a proportion of the Government Budget in 2050 by 10% of what it would have been without any reform to the Retirement Pension
Data source/ Agency	Cabinet/Ministry of Finance/World Bank team
Verification Entity	Auditor General/World Bank team



Procedure	World Bank PROST software would be used to calculate the projected share of government budget to be spent on Retirement Pension in 2050 in the absence of reform and with the proposed reform.
DLI 2	Improving efficiency and transparency of social protection programs
Description	Percentage of newly assessed home care applicants deemed eligible to receive full-time care
Data source/ Agency	ASP/Home care Agency
Verification Entity	Auditor General
Procedure	Number of newly assessed home care applicants receiving full-time care divided by the total number of newly assessed home care applicants
DLI 2.1	MoH has adopted the WHODAS 2.0 criteria for home care assessment
Description	Ministry of Health Decision to adopt WHO DAS 2.0; submitted to Cabinet for concurrence
Data source/ Agency	Ministry of Health; Cabinet
Verification Entity	Auditor General
Procedure	Cabinet decision concurring with Ministry of Health decision to adopt the WHODAS 2.0 criteria
DLI 2.2	ASP and SPF have merged their assessment boards and adopted WHODAS 2.0 criteria for assessing applicant eligibility for invalidity and disability benefits
Description	Both Agency for Social Protection and Seychelles Pension Fund agree to merge their assessment boards and to use the same criteria for assessing eligibility for disability and invalidity to bring them in line with the WHODAS 2.0 criteria, providing benefits to all those who are unable to do any type of work. Meant to avoid both administrative duplication and burdens on beneficiaries
Data source/ Agency	Agency for Social Protection; Seychelles Pension Fund



Verification Entity	Auditor General
Procedure	Both the Agency for Social Protection and the Seychelles Pension Fund publish regulations unifying the assessment bodies for disability and invalidity pensions following the principle that benefits are provided to those unable to do any type of work.
DLI 2.3	ASP has implemented immediate fiduciary controls:(i) eliminated multiple payroll records for same beneficiary;(ii) ensured all beneficiaries have own bank accounts;(iii) and created an audit trail
Description	(i) 100% merger of each beneficiary's benefit into one monthly payroll payment where s/he is eligible and receiving more than one benefit; (ii) all beneficiaries to operate their own bank accounts, and (iii) application of redesigned IT controls of payroll system with appropriate segregation of duties over data processing, approval and monitoring
Data source/ Agency	ASP
Verification Entity	Auditor General
Procedure	ASP has adopted the following payroll systems control revisions: (i) eliminated multiple payroll records for same beneficiary; (ii) ensured that all beneficiaries have their own bank accounts; and (iii) introduced segregation of duties in payroll system data processing, approval, and monitoring,
DLI 2.4	ASP has adopted a revised socioeconomic needs assessment based on non-income dimensions of poverty.
Description	Means-testing criteria for eligibility for Social Welfare Assistance revised to include socioeconomic needs.
Data source/ Agency	Agency for Social Protection
Verification Entity	Auditor General
Procedure	Agency for Social Protection will need to provide the change in norms or regulations defining eligibility for Social Welfare Assistance



DLI 2.5	ASP has conducted a comprehensive review of ASP internal controls and payroll systems to ascertain adequacy and adherence to established country system controls
Description	Conducting and issuing a comprehensive review report and action plan to strengthen and re-engineer the social protection system (the payroll and Social Welfare Information system (SWIS)) that include processes, procedures, tools and related internal controls
Data source/ Agency	ASP
Verification Entity	Auditor General
Procedure	ASP has issued a report and action plan on comprehensive review of its payroll systems processes, procedures, and internal controls.
DLI 2.6	MoH and ASP have assessed 100% of the new applicants for invalidity benefits and disability benefits pursuant to the WHODAS 2.0 criteria
Description	Percentage of new invalidity and disability pension applicants assessed under new WHO DAS 2.0 criteria
Data source/ Agency	Ministry of Health; Agency for Social Protection
Verification Entity	Auditor General
Procedure	USD 500,000 for every 20% of new applicants assessed pursuant to the WHODAS 2.0 criteria (from at least one (1) year since the adoption of said criteria) until reaching 60%, and thereafter USD 250,000 for every additional 20% of new applicants similarly assessed (i.e., by applying the WHODAS 2.0 criteria).
DLI 2.7	ASP has re-engineered the payroll system business processes based on the results of a comprehensive review and revalidated each beneficiary's eligibility
Description	Successfully (a) complete re-engineering of payroll system business processes based on the results of the comprehensive review and (b) complete revalidation of each beneficiary's eligibility
Data source/ Agency	ASP



Verification Entity	Auditor General
Procedure	a. ASP has adopted revised payroll systems addressing weaknesses identified in the comprehensive review report. b. ASP has revalidated all beneficiaries.
DLI 2.8	HCA and ASP have assessed 100% of the new HCP applicants pursuant to the WHODAS 2.0 and revised socioeconomic needs assessment
Description	Percentage of new Home Care beneficiary applicants assessed under the new assessment criteria
Data source/ Agency	Home Care Agency; Agency for Social Protection
Verification Entity	Auditor General
Procedure	USD 300,000 for every 30% of new applicants assessed pursuant to the WHODAS 2.0 criteria and revised socioeconomic needs criteria (from at least one (1) year since the adoption of said criteria and new assessment means) until reaching 60%, and thereafter USD 200,000 for every additional 20% of new applicants similarly assessed (i.e. by applying the WHODAS 2.0 criteria and the revised socioeconomic needs assessment.)
DLI 2.9	ASP has assessed 100% of the new applicants to SWA pursuant to the revised socioeconomic needs assessment
Description	Percentage of new social welfare assistance applicants assessed under new socioeconomic criteria
Data source/ Agency	Agency for Social Protection
Verification Entity	Auditor General
Procedure	USD 300,000 for every 30% of the new applicants assessed pursuant to the revised socioeconomic needs assessment (from at least one (1) year since the adoption of said revised assessment), until reaching 60%, and thereafter USD 200,000 for every additional 20% of new applicants similarly assessed (i.e., using the revised socioeconomic needs assessment)



DLI 3	Adopt an interdisciplinary approach to social protection by coordinating across MDAs and establishing a social registry which can be used to coordinate services across MDAs
Description	60% of social protection beneficiaries included in social registry
Data source/ Agency	ASP
Verification Entity	Auditor General
Procedure	60% of social protection beneficiaries included in social registry
DLI 3.1	ASP has signed inter-agency case management protocols with each of the MESA, MoH, and MoE for information sharing, including referral and counter-referral mechanisms
Description	ASP has signed inter-agency case management protocols with MESA, MoH, and MOE (including obtaining all necessary regulatory and legal approvals where applicable) for information sharing, including referral and counter-referral mechanisms
Data source/ Agency	ICT Department
Verification Entity	Auditor-General
Procedure	USD 166,667 for every inter-agency case management protocol signed.
DLI 3.2	Recipient has established a social registry that includes at least 60% of existing social protection beneficiaries
Description	Social registry will be created with records for each household with a member receiving benefits from the Agency for Social Protection. DLI will be considered complete and will fully disburse when 60% of ASP beneficiary households are included in the social registry
Data source/ Agency	Agency for Social Protection
Verification Entity	Auditor General
Procedure	USD 1,000,000 for every 20% of existing social protection Beneficiaries registered in the Recipients' new social registry, up



	to a maximum of USD 3,000,000.
DLI 4	Providing better quality services to social protection beneficiaries
Description	60% of High need home care recipients receiving care from trained caregiver and 5% of social welfare assistance beneficiaries receiving referrals to services from other MDAs
Data source/ Agency	ASP/Home Care Agency
Verification Entity	Auditor General
Procedure	
DLI 4.1	Trained caregivers within HCA, ASP and MoH are providing home care to at least 60% of new high need beneficiaries of the HCP
Description	Percentage of beneficiaries of the Home Care Program designated as high need receiving care from a trained caregiver
Data source/ Agency	Home Care Agency; Agency for Social Protection; Ministry of Health
Verification Entity	Auditor General
Procedure	New high need beneficiaries are defined as those beneficiaries receiving HCP benefits beginning in the 12 months before the assessment period and assessed as high need under the WHODAS 2.0 criteria. Trained caregivers are those who have received training not only on basic first aid, but also specialized training in bedcare, bathing, toileting, oral hygiene, pericare, feeding and dressing. The percentage of these new high need beneficiaries receiving their care from these trained caregivers will be calculated and used as the disbursement indicator. Since high need beneficiaries are defined as people who need a minimum of 6 hours of care per day 6 days a week, the trained caregiver would be assigned full time to providing care for this high need beneficiary. USD 500,000 for every 20% of new high need HCP beneficiaries in a given calendar year who have received home care from a trained caregiver, up to a maximum of USD 1.5 million.



DLI 4.2	ASP has referred 50% of the female Beneficiaries of SWA during twelve (12) consecutive months to MDAs for accessing their employability and social services
Description	Percentage of female social welfare assistance beneficiaries being referred to other MDA's for services, including, but not limited to, Ministry of Employment for job search assistance, Ministry of Education for retraining, Ministry of Health R for drug abuse and alcoholism and other rehabilitation, and Ministry of Youth, Sports, and Family Affairs for counseling in mental health issues.
Data source/ Agency	Agency for Social Protection
Verification Entity	Auditor General
Procedure	Each period, the percentage of female social welfare assistance beneficiaries referred to other MDAs for employability and social services, over the last 12 months, would be calculated. The referrals would use interagency Case Management protocols developed under DLR3.1. USD 400,000 for every 10% of the female beneficiaries of SWA having been referred to MDAs for accessing employability and social services, up to a maximum of USD 2,000,000.
DLI 5	ASP increasing the number of social welfare beneficiaries in response to the COVID-19 crisis
Description	ASP has increased the average monthly number of SWA beneficiaries to 3800 during the months of May 2020 to April 2021 as emergency support during the COVID-19 pandemic.
Data source/ Agency	Agency for Social Protection
Verification Entity	Auditor General
Procedure	The average number of households receiving SWA benefits from May 2020 to April 2021. If the monthly average is greater than or equal to 3400 beneficiaries, but less than 3600 beneficiaries, US\$ 8 million will be disbursed. If the specified monthly average is equal or greater than 3600 beneficiaries, but less than 3800 beneficiaries, US\$ 10 million will be disbursed. If the specified monthly average is greater than or equal to 3800 beneficiaries, then US \$11 million will be disbursed.



DLI 5.1	ASP has increased the monthly average coverage of SWA to at least 3800 people, to assist households in response to the COVID-19 crisis
Description	Average monthly number of households receiving social welfare assistance from May 2020 to April 2021 as an emergency response to the pandemic
Data source/ Agency	ASP
Verification Entity	Auditor General
Procedure	Calculate the average monthly number of households receiving social welfare assistance from May 2020 to April 2021. If the number is equal to or greater than 3800, the result is considered achieved and full disbursement will occur. Should the monthly number reach only 3400, the result will trigger a disbursement of USD \$8 million and if it reaches only 3600, the result will trigger a disbursement of USD \$10 million.



ANNEX 3. (SUMMARY) TECHNICAL ASSESSMENT

COUNTRY : Seychelles

Strengthening Quality of the Social Protection System

1. **The PDO is to strengthen the efficiency and quality of social protection spending in the Seychelles.** Efficiency in this context refers to improvements in allocative efficiency of the various programs, increasingly moving resources toward those with greater needs. The quality of social protection programs refers to the provision of complementary services which assist those who are able to move toward productive employment and increase the quality of life for those who cannot join the labor force.
2. **The Program is defined as five benefit schemes administered by the Agency for Social Protection: RP, IB, DB, HCP, and SWA.** RP is provided on a non-contributory basis to all citizens residing in Seychelles aged 63 or above. IB and DB are also constitutionally mandated to be provided from the general budget, although eligibility conditions and benefits levels are not specified. The HCP provides caregivers for beneficiaries requiring care assistance in their homes and is means-tested. SWA is the main poverty-targeted social protection program and is provided at the household level, rather than at the individual level as with the other benefits, and follows a much stricter means-testing than the HCP.
3. **Spending on these four programs has more than doubled as a percentage of GDP between 2015 and 2019.** Spending has increased from 2.5 percent of GDP in 2015 to above five percent of GDP by 2019, attributable both to a rise in the level of benefits and to growth in the number of beneficiaries. While SWA spending grew between 2015 and 2016, it has fallen since then partly due to employment requirements being imposed on applicants, until the COVID-19 emergency which has caused it to rise again.
4. **Despite the rapid increase in spending, the GoS has noted a growing level of inequality.** The country has one of the highest rates of inequality in the world, with a Gini coefficient of 0.47. The low poverty rate is partially attributable to the generous system of social transfers, coupled with free health care and education, which results in raising households to the poverty line, or just above, but has not resulted in pulling households onto a strong growth path, similar to that enjoyed by others in the economy. Furthermore, there is some evidence that children living in households which rely on social transfers are growing up into adults who also depend on social transfers.
5. **The Government is concerned about bringing those not working or working without career potential into more productive jobs for at least two reasons: (i) to limit social and economic exclusion, and (ii) to prepare for the ageing of the population.** Seychelles suffers from a number of issues: school dropouts or poor school performance, drug and alcohol addiction, teen pregnancies and a high percentage of female-headed households. Labor markets rely on certification of qualifications by educational institutions as the basis for promotion and career development, and focus on full-time employment. The result has been a two-track society where one group has significant career potential while the other group is stuck in minimum wage jobs or casual work augmented by government transfers.



6. **While the social protection spending is reasonably affordable today, the population in Seychelles is rapidly aging, resulting in substantial projected increases in social protection spending in the near future.** The percentage of the population which is elderly, aged 60 or above, is expected to almost double by 2030 from 13.3 percent of the population in 2017. Social protection spending is expected to experience substantial increases, reaching almost ten percent of GDP by 2030 and will continue to rise thereafter to about 12 percent of GDP.
7. **Aging of the population is also accompanied by a declining working age population in most countries, and Seychelles is no exception.** Increasing economic inclusion to bring as much of the working age population into productive work will not only improve social inclusion, but also will help sustain growth rates which would be key to the ability to finance expenditures for the growing elderly population. Given the rapid potential increase in spending from aging, prioritizing spending to ensure that the working age population is as employed and productive as possible while ensuring that those who need the most help, regardless of age, are provided the help they require is most important.
8. **The underlying theory of change is to first identify households and the needs they may have and develop services to meet those needs and to then reform the social protection system towards increased efficiency by focusing more on people with needs and towards increased quality by complementing cash benefits with services to help them overcome their needs.** Result Area 1 focuses on the reforms of the five major schemes within the Social Protection Sector while Result Area 2 of the Program focuses on identification of households and their needs as well as developing the necessary services, while.



ANNEX 4. (SUMMARY) FIDUCIARY SYSTEMS ASSESSMENT

COUNTRY : Seychelles

Strengthening Quality of the Social Protection System

1. **A Fiduciary Systems Assessment (FSA) of the Seychelles Social Protection System project was carried out in accordance with World Bank Policy Program for Results, 2017 and World Bank Procedure Program-for-Results, March 1, 2018.** An assessment of the financial management and procurement systems and capacities of the MFEPT (the ministry in charge of the budget preparation and execution), ASP, Procurement Oversight Unit and National Tender Board was carried out. The conclusion of the FSA, on these institutions, is that the Program Fiduciary Systems have the capabilities to provide reasonable assurance that the funds under the Program will be used for the intended purposes with due attention to the principles of economy, efficiency, effectiveness, transparency, and accountability subject to implementing the activities in the PAP.

2. **The Program will rely predominantly on the existing financial management and procurement systems and institutions in Seychelles.** In reference to the 2016 PEFA report, the country's Public Finance Management (PFM) systems and institutions have been assessed as sufficient to provide reasonable assurance that the financing under the Program will be used for intended purposes, with due regard to the principles of economy, efficiency, effectiveness, transparency and accountability. However, as part of assessing the fiduciary systems that will be applied by the proposed program, several weaknesses in the existing systems were identified: (a) Lack of or limited planning for social expenditure beneficiaries resulting to large budget outturns; (b) first payments of benefits paid in cash which increases risk of cash leakage; and (c) weaknesses in internal controls relating to using manual systems to process beneficiary applications approval and lack of a process to continuously assess the beneficiary's eligibility and changes of status. In addition, an investigation instituted when the Government suspended a senior ASP official (September 2020) due to a suspected fraud, flagged when his commercial bank reported suspicious transaction under AML rules in his account to the Central Bank, revealed significant weaknesses in the ASP's systems, processes and internal controls. These weaknesses allowed the senior official to embezzle funds for his benefit.

3. **The ASP management is implementing reforms to address the weaknesses reported in the Auditor General investigation report.** Some of the reforms include: (a) requiring all beneficiaries to have own bank accounts; (b) processing future social benefits bank transfer payrolls by Treasury (Ministry of Finance, the Director of Finance) in liaison with ASP, as opposed to the current practice of transfers being done by ASP only; (c) increasing segregation of duties especially in IT control system, (d) merging beneficiaries' benefits into a single entry in the monthly payroll payment which will contain all benefits to which the beneficiary is eligible, and (e) plans to conduct a comprehensive system review to determine areas of improvement.

4. **To address the weaknesses, the FSA recommends a DLI and activities which have been incorporated into the PAP to strengthen fiduciary aspects of the Program implementation.** Specifically, DLI 2 will include measures to improve the transparency in the social protection system, through a series of DLRs. DLR 2.3 will consist of ASP adopting the following payroll systems controls: (i) monthly payroll statement shows a single entry per beneficiary even where an individual is receiving more than one benefit; (ii) 100 percent of beneficiaries to have their own bank accounts into which benefits can be deposited, and (iii) the application of redesigned IT



controls of the payroll system with appropriate segregation of duties of data processing, approval, and monitoring, with an audit trail. DLR 2.5 will consist of the issuance of a comprehensive review report and action plan to strengthen and re-engineer the social protection system (the payroll and Social Welfare Information system (SWIS)) that include processes, procedures, tools and related internal controls. The review should be done by an institution that comprise a multi-disciplinary team - IT specialist and auditors – selected by the Government, following a terms of reference agreed upon with the World Bank. DLR 2.7 will consist of: (i) a complete reengineering of payroll system business processes based on the results of the comprehensive review, and (ii) revalidation of each beneficiary's eligibility.

5. **While the Program will not require significant procurement as it largely deals with cash transfers, there are some weaknesses in the Procurement systems. The performance and efficiency of the system throughout the procurement cycle is generally acceptable.** The (i) contracts tend to be open tender (competitive basis) as mentioned in the PEFA report of 2016. (ii) For a national tender, the bidding document is paid for but is free for open competition at international level; (iii) Bids opening is transparent, widely accepted by all bidders and takes place at National Tender Board. Nevertheless, there are still challenges in the following points: (i) the template of advertisement has no date. This does not allow the reviewer or the bidder to know the exact duration of the advertisement; (ii) pre-tender meetings are mandatory. This limits the access to information for international candidates; (iii) The bidding document is only available during a limited range of time which may limit the number of bidders; (iv) PEFA report raised the use of direct selection method for awarding contract (54.9 percent) while Procurement Act prefers the open method.

6. **Internal and external audit.** The Internal Audit Division shall annually perform a review to establish the status of implementation of reforms being implemented by management to address weaknesses reported in investigation reports and the action plan developed after conducting the comprehensive review, and check the effectiveness of the operation of the re-engineered systems, processes and controls. The first report shall cover period from project effectiveness to December 31, 2022. A copy of the report shall be submitted to the World Bank four months after year end, first one due by April 30, 2023. The Auditor General shall conduct a separate audit of the Program expenditure annually. The audit report will require to be submitted to the World Bank together with the detailed management letter of ASP, 12 months after the year end. The terms of reference for the audit of the Program shall be shared and agreed with the Auditor General before effective date of the Program. The Auditor General will also be required to perform agreed upon procedures review to assess adherence with the reengineered systems, processes and procedures to ensure the social benefit reach intended beneficiaries; at least every second year. The first such audit shall cover the period from effectiveness to December 31, 2023. The audit will assess the effectiveness, efficiency and economy of social protection system. The report is required to be submitted to the World Bank six month from from end of calendar year to which it applies, first one due by June 30, 2024.

7. **Reconciliation of disbursed financing and Program expenditures.** The Program covers the five social protection benefits: RP, IB, DB, HCP, and SWA. The budget codes associated with the programs are as follows: RP 27110010; IB 27110001; DB 27110013; HCP 27210001; and SWA 27410003. If by the end of the PforR program, the PforR financing amount disbursed exceeds the total amount of PforR Program expenditures, the Borrower refunds the difference to the World Bank.



8. **Flow of funds.** Disbursements from the World Bank: The project disbursements from the World Bank will be deposited into the Government Treasury Single Account after DLIs are met. The funds will be released to the ASP in this case, as part of the quarterly warrant cash issuance by the Ministry of Finance. Payment to beneficiaries and service providers will follow the existing financial management government practices.

Actions to Strengthen the Fiduciary Systems

		Action	Agency responsible	Timing	DLI
1		ASP to include all social program expenditures in its PPBB process	ASP	2022 budget	No
2		To conduct a comprehensive review of the social protection system (the payroll and Social Welfare Information system (SWIS)) that would include processes, procedures, tools and related internal controls, and propose an action plan to strengthen and modernize the system. The Terms of reference to be agreed with World Bank.	To be determined by the Government	December 31, 2022	Yes, as a DLR
3		The Internal Audit Division to conduct internal audits annually to establish the status of implementation of reforms being implemented by management to address weaknesses reported in investigation reports	Internal Audit Unit	Annually The first report shall cover period from project effectiveness to December 31, 2022. A copy of the report shall be submitted to the World Bank	No



		Action	Agency responsible	Timing	DLI
		and the action plan from comprehensive review and check the effectiveness of the operation of the re-engineered systems, processes and procedures.		by April 30, 2023	
4		Auditor General to perform an agreed upon procedures review to assess adherence with the reengineered systems, processes and procedures to ensure the social benefit reach intended beneficiaries; at least every second year	Auditor General	Every second year. The first such audit shall cover the period from effectiveness to December 31, 2023, report to be submitted to World Bank by June 30, 2024.	No
5		POU to include Banks requirement on fighting Fraud and Corruption in Standard Bidding documents	POU - ASP	1 st year of implementation	No
6		ASP to advertise all procurement process (Procurement Plan, REOI, RfB, award) in its website	ASP ACCSEY – NTB - POU	1 st year of implementation	No
7		Create a specific archive on procurement activities related or financed through this PforR	ASP	1 st year of implementation	No



		Action	Agency responsible	Timing	DLI
		Program			
8		Increase the use of open competitive method	ASP	1 st year of implementation and during all the Program implementation	No



ANNEX 5. SUMMARY ENVIRONMENTAL AND SOCIAL SYSTEMS ASSESSMENT

COUNTRY : Seychelles

Strengthening Quality of the Social Protection System

1. **This ESSA assesses the institutional and organizational capacity of the program implementing agency (ASP) to achieve the program objective against environmental and social risks associated with the proposed program activities.** Where the implementing agency does not meet the World Bank's requirements, such as lack of regulatory authority or organizational capacity to effectively manage environmental or social risks, complementary actions are proposed to strengthen the management system as well as additional measures to improve program performance.
2. **From an environmental perspective, the PforR, as is currently designed, is a low-risk program.** There is no activity that is likely to cause significant negative impacts to the environment, in terms of spatial scale, magnitude, or duration. Furthermore, the program does not involve any construction or any 'development' activity (as defined under the EPA, 2016) planned nor any activity to be undertaken in protected or ecologically sensitive areas.
3. **From a social perspective, Result Area 1 of the program seeks to revise the design of the existing social protection programs One of the potential consequences of the review would be a change in both the number and composition of people who will be eligible for those programs.** Those that become ineligible will need to be reskilled or retrained to remain productive and ensure earning opportunities for their households, as much as possible, to contribute to the country's economy.
4. **On the social side, the proposed program activities will have no major social impacts, as land acquisition and resettlement are not anticipated.** However, the program could adversely affect several vulnerable groups who were repeatedly highlighted as particularly vulnerable during the ESSA process, including alcohol and drug users, teenage mothers, and female-headed households. The program will require a comprehensive understanding of the impact of the planned program on vulnerable groups and adopt measures to mitigate any negative impacts.
5. **The national social management systems to deal with vulnerability and conflict are well defined and established.** The country's constitution recognizes the rights and the need for the protection of vulnerable groups but only makes explicit reference to the need for the protection of children and young persons, the elderly, and disabled people and does not explicitly mention other vulnerable groups.
6. **The constitution does refer to mechanisms for resolving conflict/grievances, such as the court system and appeal procedures, and grievance redress (ombudsman).** Other constitutional provisions relevant for the program relate to citizen participation and access to information.
7. **A capacity assessment of the PforR implementing agency to manage identified social risks was carried out.** At the ASP level, issues of vulnerability are highly recognized. The ASP charter states that its vision is to be "an empowered agency seeking excellence in service delivery with the aim of reaching the most vulnerable



groups.” With respect to conflict, the ASP Customer Chart recognizes that if for any reason a person is not satisfied with its services and wishes to complain, this is dealt with in a fair, thorough, and timely manner. The ASP has an established complaint-handling mechanism—formal and informal. However, evidence of policies or deliberate provisions for beneficiaries’ participation in programs and right to information could not be found.

8. **The ASP has adequate staff in place to handle case work but would benefit from some specialized functions such as on communication, stakeholder consultations, and monitoring and evaluation (M&E).** The ASP has 84 staff, mostly women (nine male staff members). It has offices in each of the 26 districts with 26 staff and six senior officers supervising each region. Staff interviewed by the ESSA team both in the head office and regional offices showed a high level of commitment to their work, but also a heavy workload. Staff assess cases and provide information on the process of applications. They also provide information on social services that may be required by applicants. A linked information system through which they can access all the necessary details is an essential requirement.

9. **While there is a training plan for ASP staff and financial support is provided to those needing specialized qualifications in social work or other disciplines, staff identified the need for further training on the types of benefits provided by ASP and the eligibility assessment.** This would allow staff to provide holistic information to clients, rather than only on the specific program for which they have received training. Staff also identified the need for counseling support as they deal with stressful cases that take a toll on their mental and emotional health. Further, staff reported that they sometimes face abuse and threatening behavior from applicants who are dissatisfied with the benefits they receive. Staff realize that many eligible people do not come forward to claim benefits and identified the need for a robust communication and outreach mechanism. The home care staff oversee the program implementation by carrying out visits to recipients. However, lack of staff has limited the monitoring of care providers, many of whom are not qualified.

10. **Actions addressing many of these concerns are included in the PAP.**



ANNEX 6. PROGRAM ACTION PLAN

Action Description	Source	DLI#	Responsibility	Timing		Completion Measurement
Establish a Communications and Consultation Unit in the Agency for Social Protection	Environmental and Social Systems		Agency for Social Protection	Due Date	05-Nov-2021	Communications and Consultation Unit exists
Capacity assessment of Non-Governmental Organizations to determine their role in the Program	Environmental and Social Systems		Ministry of Employment and Social Affairs	Due Date	31-Dec-2021	Assessment of NGO capacity to contribute undertaken
Assess number of people whose benefits may be reduced or rolled back and develop a strategy for supporting them through other interventions	Environmental and Social Systems		ASP	Recurrent	Yearly	Regular reporting to the Social Protection technical meeting
Develop training plan for ASP staff that provides comprehensive orientation on the range of benefits offered to citizens and the rationale behind them, data privacy for applicants.	Environmental and Social Systems		ASP	Due Date	03-Nov-2023	Report to Social Protection Technical Committee
Update the Grievance Redress Mechanism and ensure that it is widely communicated and easily accessible.	Environmental and Social Systems		ASP	Due Date	04-Nov-2022	Report to Social Protection Technical Committee
Include material on gender-based violence, sexual abuse, and other	Environmental and Social Systems		Home Care Agency and ASP	Due Date	05-Nov-2021	Report to Social Protection Technical Committee



negative behaviors in the training material for Home Care Givers						
Strengthen the research capacity of Ministry of Employment and Social Affairs to undertake research on quantitative and qualitative aspects of poverty	Environmental and Social Systems		Ministry of Employment and Social Affairs	Due Date	03-Nov-2023	Report to Social Protection Technical Committee
Undertake research on the causes of vulnerability in the Seychelles	Environmental and Social Systems		Ministry of Employment and Social Affairs	Due Date	03-Nov-2023	Report to Social Protection Technical Committee
Assessment of special vulnerabilities of women which lead them to become welfare beneficiaries	Environmental and Social Systems		Ministry of Employment and Social Affairs	Due Date	03-Nov-2023	Report to Social Protection Technical Committee
Consultations between the Technical Working Group and civil society, marginalized groups (including drug and alcohol addicts) and their representatives and technical specialists	Environmental and Social Systems		Social Protection Technical Working Group	Recurrent	Yearly	Report to Social Protection Interministerial Committee
Monitoring and evaluation	Environmental and Social Systems		ASP	Recurrent	Yearly	Report to Social Protection Technical Committee
Identify professional centers involved in re-skilling and develop and implement the necessary Environmental Management Plan to mitigate environmental impacts from their	Environmental and Social Systems		Ministry of Education	Due Date	03-Nov-2023	Report to Social Protection Technical Committee



activities if they arise.						
Communication between the MEECC and the Social Protection Technical Working Group to identify unexpected potential environmental risks during implementation and to mitigate them	Environmental and Social Systems		Social Protection Technical Working Group	Recurrent	Yearly	Report to Social Protection Interministerial Committee
Auditor General to perform an agreed upon procedures review to assess adherence with the re-engineered systems, process, and procedures to ensure the social benefits reach their intended beneficiaries, at least every second year	Fiduciary Systems		Auditor General	Due Date	28-Jun-2024	Report submitted to the World Bank
Increase the use of open competitive method in procurement	Fiduciary Systems		Agency for Social Protection	Due Date	31-Jul-2024	Open competitive method used in all large procurements
Analysis of the referral and counter-referral system for drug and alcohol addicts between ASP and relevant MDAs	Environmental and Social Systems		ASP, MESA	Due Date	03-Nov-2023	Report to Technical Working Group
Internal Audit Division to conduct internal audits annually to establish status of implementation of the reforms enacted by management to address weaknesses noted	Fiduciary Systems		Internal Audit Division	Due Date	28-Apr-2023	Audit reports shared with World Bank



in investigation report and action plan from comprehensive review						
ASP to include all social program expenditures in its PPBB process	Fiduciary Systems		ASP	Due Date	29-Jul-2022	Budget document contains PPBB tables from ASP with social program expenditures



ANNEX 7. IMPLEMENTATION SUPPORT PLAN

COUNTRY : Seychelles

Strengthening Quality of the Social Protection System

Main focus of Implementation Support

Time	Focus	Skills Needed	Resource Estimate	Partner Role
First twelve months	Development of Social Registry and Interoperability Protocols	Consultancy on Social Protection and Social Registries, experience in OECD countries	US\$0.8 million	
First twelve months	Revision of socioeconomic assessment criteria by ASP	International consultancy to develop the revised ASP socioeconomic assessment tool including non income dimensions of poverty and gender sensitivity measures of wellbeing.	US\$0.1 million	
12-48 months	Monitoring and evaluation	Monitoring and evaluation consultancy on (i) Needs assessment of M&E Programs activities, (ii) design of critical evaluation activities, and (iii) delivery of regular monitoring reports by the ICSP and TWG.	US\$0.2 million	
12-24 months	Advisory support to ESSA Consultations			
24 months	Gender Vulnerability Study (GVS)	Consultancy of multidisciplinary team to design and implement the GVS, partnered with Gender GSG team	US\$0.1 million	African Development Bank

**Task Team Skills Mix Requirements for Implementation Support (Template)**

Skills Needed	Number of Staff Weeks	Number of Trips	Comments
Gender Specialist	2	2	Advisory role across activities (Social Registry data collection protocols, ASP Criteria, and design of GVS)
Poverty Specialist	2	0.5	Advisory in revised ASP criteria
Social Registry Specialist	4	1	Advisory activities on SR design and ASP criteria

Role of Partners in Program Implementation (Template)

Name	Institution/Country	Role
Koffi-Marc Kouakou, Principal Statistician-Economist	African Development Bank (AHGC1)	Advisory



ANNEX 8. Adjustments to the Country Program in Response to COVID-19

A. Impact of the COVID-19 pandemic on the country and government response

1. **The Seychelles economy continues to face the effects of the global pandemic.** Economic growth declined by 13.5 percent in 2020, due particularly to the impact of COVID-19 on the tourism sector, which decline by approximately 45 percent. The contraction in economic activity, has caused a significant loss of income in the services sector, led to private sector financial difficulties and has caused frictions in the labor market. Given the sluggish performance of the tourism industry, the fisheries and manufacturing sectors are currently the leading drivers of the economy. Nonetheless, revenue generated from these two sectors is not sufficient to offset the loss in revenue from the tourism industry. The external account is strongly dependent on tourism earnings and investment. Seychelles' current account deficits have largely been financed by foreign direct investment (FDI). With the impact of COVID-19 on tourism and exports, the current account deficit increased to 29.2 percent of GDP in 2020.

2. **The contraction in tourism related activities and underperforming dividends had a significant negative impact on revenue collection in 2020.** In addition, expenditures increased drastically due to increased spending associated with the government's COVID-19 response package. Consequently, the budget deficit increased to 22.6 percent of GDP in 2020 from the pre-COVID-19 projection of a surplus of 0.1 percent of GDP. The fiscal deficit will narrow over the medium-term, however the GoS is not expected to meet its primary surplus target until 2025. In addition to the increase in fiscal deficit, there was a steep increase in debt (102.1 percent of GDP). To support the government's response and per the government's request, the World Bank has already provided USD 22 million in financing through disbursement of a Cat-DDO and a new emergency DPO. However, most of the COVID-response has been financed domestically through short term instruments and resulting high Gross Financing Need (approximately 60 percent of GDP) which gives cause for concern over high debt levels as the crisis in the tourism sector prolongates and fiscal expenditure remains elevated in response. As a result, the new government has requested an IMF program.

3. The government's gross financing need between 2021 to 2023 is estimated to be approximately US\$450 million. This is expected to be partially financed by external borrowing from the IMF, the World Bank and the African Development Bank and by the issue of a bond for SCR 1.5 billion on the domestic market. The macro-fiscal position of the country is subject to uncertainty as the country deals with a second wave of the COVID-19 pandemic and the potential impact it may have on the economy.



Table 8.1: Selected Macroeconomic Indicators

	2018	2019	2020	2020	2021	2022	2023
			Pre-COVID	COVID	Proj.	Proj.	Proj.
Real GDP	3.8	3.9	3.5	-13.5	1.8	4.3	4.2
CPI (annual average %growth)	3.7	1.8	2.1	1.2	3.7	2.5	3
Total revenue and grants	37.5	36.4	40.3	35.1	33.8	34.2	35
Tax Revenue(% GDP)	32.1	32	31.6	28.5	28.4	28.9	29.2
Expenditure (% GDP)	37.8	36.1	40.2	57.7	54.7	51.7	47.4
Current expenditure (% GDP)	32.8	32.4	34.3	49.9	41.8	40.6	39.5
Capital expenditure (% GDP)	5.1	3.7	4.8	4.9	12.8	10.7	8.5
Primary balance (%GDP)	0.7	-0.8	0.1	-19.2	-11.8	-8.2	-4.9
Overall balance (% GDP)	2.9	2.7	2.5	-22.6	-15.7	-12.1	-9.0
Total government and government guaranteed debt	60.9	61.8	57.2	102.1	100.8	97.5	88.9
Financing (% GDP)	-0.7	0.8	-0.1	22.6	15.7	12.1	9.0
Foreign Financing (% GDP)	-0.2	-0.2	-0.7	8.9	3.1	2.0	2.0
World Bank (% GDP)	0.0	0	0	5.6	3.1	2.0	2.0
Domestic financing, net (% GDP)	-1.2	1.7	0.6	4.7	12.6	10.1	7.0
Current account balance (% GDP)	-17.9	-16.7	-17.6	-29.7	-36.9	-34.9	-29.1
Exports, Goods and Services (% growth)	9.5	-1.6	3.0	-32.2	-12.5	22.3	18.5
Imports, Goods and Services (% growth)	8.7	-1.4	3.2	-24.9	-7.9	25.1	12.9
Gross official reserves (end of year, mIn US\$)	548	580	541	443	344	276	231

Source: World Bank staff based on data from Ministry of Finance, Central Bank of Seychelles, and IMF.

4. The Government responded by guaranteeing salaries of all private sector employees for the months of April, May, and June 2020 with no redundancies allowed under the Financial Assistance for Job Retention Program. The guarantee was extended until December 2020 for Seychellois employees only, but redundancies were allowed to take place as well in the July to December 2020 period. Those employees deemed redundant were eligible to receive a monthly salary up to a ceiling of SCR 30,000 and received re-skilling and up-skilling as necessary to help them find new jobs. The program has been further extended until end-March 2021, but limited to employees of particular business establishments, such as accommodation and food services, and with a limit of 50 percent of their previous salaries and to those registered as self-employed with a flat amount of SCR 5804. There are no plans to extend this program further.

5. In addition, the Government greatly expanded the number of beneficiaries receiving social welfare assistance from the 2019 average monthly number of beneficiaries of 2400, to more than 3800 between May 2020 and January 2021. This number is expected to grow further as other relief measures are phased out. Furthermore, taxes and social contributions were postponed between April and September 2020, providing further relief to households.

B. WBG support for responding to the crisis

6. The World Bank Group country program was adjusted to respond to the COVID-19 emergency



through a combination of instruments that covered all four pillars of the WBG COVID-19 crisis response (Health, Social, Economic Response and Recovery). After the rapid disbursement of a US\$7 million Disaster Risk Management Development Policy Loan with a Catastrophe Deferred Drawdown Option (P174298) in April 2020 following the declaration of the national health emergency, a COVID-19 Crisis Response Emergency Development Policy Financing (P174198) provided an additional US\$15 million in July 2020 to further strengthen the health sector, support measures to struggling firms and structural reforms to enhance anti-money laundering provisions and climate change resilience that are key to a strong recovery. Financing support under the Social Pillar is being delivered through the adaptation of this Program for Results as discussed in paragraph 8 below. Seychelles has also requested World Bank financing for COVID-19 vaccination efforts, and the Seychelles COVID-19 Response Project under preparation (P176320), is expected to provide US\$5 million. In addition, the existing technical assistance portfolio was adjusted where relevant, i.e., through technical advice on the health response plan, a stronger emphasis on crisis response capabilities under an ongoing technical assistance Enhancing Transparency, Accountability and Good Governance for Inclusive Growth: Maximizing Results-Based Management (P168554), and a focus on revenue mobilization and anti-money laundering to support a strong recovery. A new DPO series has been requested in the neighborhood of US\$30 million, included in the table below.

Table 8.2: Seychelles: World Bank COVID-19 Response Financing

Areas of Intervention	Lending (US\$ million)
Pillar 1: Saving Lives: (Health)	15
Pillar 2: Protecting Poor and Vulnerable People	16
Pillar 3 – Ensuring Sustainable Business Growth and Job Creation	19
Pillar 4 – Strengthening Policies, Institutions and Investments for Rebuilding Better	19
Total	69

C. *Selectivity, Complementarity, Partnerships*

7. The proposed PforR, which has been under discussion with the Government since 2019, is aligned to the Objective 3 in the CPF to reorient the social protection system to prioritize the bottom forty percent. It seeks to reorient the social assistance system from a focus on social welfare to a focus on investing in human capital and participation in the labor markets, especially among the bottom 40 percent. As the COVID-19 crisis was not foreseen in the CPF, the PforR goes further in supporting the delivery of emergency assistance during the crisis, as part of the role of social protection in absorbing and mitigating the impacts of shocks. The PforR would indirectly support the CPF pillar of Sustainable Growth for Shared Prosperity as it would enhance the employability of beneficiary households and participants, pulling households back into productive work and reducing their reliance on cash benefits. Although another objective is formulated in terms of the management of natural endowments, it is motivated by the need to strengthen the capacity to absorb environmental and global economic shocks. This PforR supports building an adaptable social protection system which enhances the capacity to be resilient to extreme climate events or economic shocks.



8. The PforR has also been adjusted to provide financial support to the GoS in addressing the needs of vulnerable populations who have lost their livelihoods due to the COVID-19 induced tourism decline. While the GoS covered salaries for private formal sector workers to be paid by their current employers, those working in the informal sector or participating in daily and casual labor have completely lost their source of income. In April 2020 as many as 2,754 households applied for SWA. Furthermore, as the Government's financial support to private sector employers to prevent redundancies has fallen and continues to fall further until it is completely eliminated in March 2021, the need for increased SWA has continued. The PforR has been adjusted to include emergency financing to allow the SWA to be temporarily expanded both horizontally and vertically.